SUGGESTED ANSWERS TO QUESTIONS SET AT THE

INTERMEDIATE EXAMINATION

(UNDER REVISED SCHEME OF EDUCATION AND TRAINING)

GROUP I

JULY, 2021

BOARD OF STUDIES

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

(Set up by an Act of Parliament)

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PAPER – 1 : ACCOUNTING

*Question No. **1** is compulsory.*

*Answer any **four** questions from the remaining **five** questions.*

Wherever necessary, suitable assumptions may be made and indicated in answer by the candidates.

Working Notes should form part of the answer.

Question 1

Answer the following questions:

(a) *Joy Ltd. purchased 20,000 kilograms of Raw Material @ ₹ 20 per kilogram during the year 2020-21. They have furnished you with the following further information for the year ended 31st March, 2021:*

Particulars	*Units*	*Amount (₹)*
Opening Inventory:		
Finished Goods	*2,000*	*1,00,000*
Raw Materials	*2,200*	*44,000*
Direct Labour		*3,06,000*
Fixed Overheads		*3,00,000*
Sales	*20,000*	*11,20,000*
Closing Inventory:		
Finished Goods	*2,400*	
Raw Materials	*1,800*	

The plant has a capacity to produce 30,000 units of finished product per annum. However, the actual production of finished products during the year 2020-21 was 20,400 units. Due to a fall in the market demand, the price of the finished goods in which the raw material has been utilized is expected to be sold @ ₹ 40 per unit. The replacement cost of the raw material was ₹ 19 per kilogram.

You are required to ascertain the value of closing inventory as at 31st March, 2021 as per AS 2.

(b) (i) *A Limited has contracted with a supplier to purchase machinery which is to be installed at its new plant in four months time. Special foundations were required for the machinery which were to be prepared within this supply lead time. The cost of the site preparation and laying foundations were ₹ 2,10,000. These activities were supervised by an Architect during the entire period, who is employed for this purpose at a salary of ₹ 35,000 per month. The machinery was purchased for ₹ 1,27,50,000*

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and a sum of ₹ 2,12,500 was incurred towards transportation charges to bring the machinery to the plant site. An Engineer was appointed at a fees of ₹ 37,500 to supervise the installation of the machinery at the plant site. You are required to ascertain the amount at which the machinery should be capitalized in the books of A Limited.

(ii) B Limited, which operates a major chain of retail stores, has acquired a new store location. The new location requires substantial renovation expenditure. Management expects that the renovation will last for 4 months during which the store will be closed. Management has prepared the budget for this period including expenditure related to construction and re-modelling costs, salary of staff who shall be preparing the store before its opening and related utilities cost. How would such expenditure be treated in the books of B Limited ?

(c) Alps Limited has received the following Grants from the Government during the year ended 31st March, 2021:

(i) ₹ 120 Lacs received as Subsidy from the Central Government for setting up an Industrial undertaking in Medak, a notified backward area.

(ii) ₹ 15 Lacs Grant received from the Central Government on installation of Effluent Treatment Plant.

(iii) ₹ 25 Lacs received from State Government for providing Medical facilities to its workmen during the pandemic.

Advise Alps Limited on the treatment of the above Grants in its books of Account in accordance with AS-12 "Government Grants".

(d) Prepare cash flow statement of Gama Limited for the year ended 31st March, 2021 in accordance with AS-3(Revised) from the following cash account summary :

Cash summary Account

Inflows	*₹ ('000)*	*Outflows*	*₹ ('000)*
Opening Balance	*945*	*Payment to suppliers*	*54,918*
Receipts from Customers	*74,682*	*Purchase of Investments*	*351*
Sale of Investments (Cost ₹ 4,05,000)	*459*	*Property, plant and equipment acquired*	*6,210*
Issue of Shares	*8,100*	*Wages and salaries*	*1,863*
Sale of Property, Plant and equipment	*3,456*	*Payment of overheads*	*3,105*
		Taxation	*6,561*
		Dividends	*2,160*
		Repayment of Bank Overdraft	*6,750*

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		Interest paid on Bank Overdraft	*1,350*
		Closing Balance	*4,374*
	87,642		*87,642*

(4 Parts x 5 Marks = 20 Marks)

Answer

(a) Statement Showing the Computation of Value of Closing Inventory

Value of Closing Finished Goods

Particulars	**Amount (₹)**
Cost of Raw Material consumed (20,400 units X ₹ 20 per kg)	4,08,000
Direct Labour	3,06,000
Fixed Overheads (₹ 3,00,000/30,000 x 20,400)	2,04,000
Cost of Production	9,18,000
Cost of Closing Inventory of Finished Goods per unit (₹ 9,18,000/20,400)	45
Net Realizable Value (NRV) per unit	40

Since net realizable value is less than cost, closing inventory of Finished Goods will be valued at ₹ 40 per unit

Value of Closing Raw Materials

As NRV of finished goods is less than its cost, the relevant raw material will be valued at its replacement cost, which is the best available measure of its NRV i.e. @ ₹ 19 per kg.

Therefore, value of closing inventory would be as under:

Finished Goods 2,400 units @ ₹ 40 per unit	₹ 96,000
Raw Materials 1,800 kg @ ₹ 19 per kg	₹ 34,200
Total	₹ 1,30,200

Working Note:

Calculation of raw material consumed during the year

Particulars	**Unit (Kg)**
Opening Inventory	2,200
Purchases	20,000
Less: Closing Inventory	(1,800)
Raw Material Consumed	20,400

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(b) (i) Statement Showing the Computation of the amount at which the Machinery should be capitalized in the books of A Limited

Particulars		Amount (₹)
Purchase cost of machinery	Given	1,27,50,000
Add: Site Preparation Cost	Given	2,10,000
Architect's Salary	Specific / Attributable overheads for 4 months (₹ 35,000 x 4)	1,40,000
Initial Delivery Cost	Transportation	2,12,500
Professional Fees for Installation	Engineer's Fees	37,500
Total Cost of Machinery to be capitalized		1,33,50,000

(ii) Management should capitalize the costs of construction and remodelling the store, because they are necessary to bring the store to the condition necessary for it to be capable of operating in the manner intended by management. The store cannot be opened without incurring the remodelling expenditure, and thus the expenditure should be considered part of the asset. However, if the cost of salaries, utilities and storage of goods are in the nature of operating expenditure that would be incurred if the store was open, then these costs are not necessary to bring the store to the condition necessary for it to be capable of operating in the manner intended by management and should be expensed.

(c) (i) As per AS 12 'Accounting for Government Grants', where the government grants are in the nature of promoters' contribution i.e., they are given with reference to the total investment in an undertaking or by way of contribution towards its total capital outlay and no repayment is ordinarily expected in respect thereof, the grants are treated as capital reserve which can be neither distributed as dividend nor considered as deferred income. In the given case, the subsidy received from the Central Government for setting up an industrial undertaking in Medak is neither in relation to specific fixed asset nor in relation in revenue. Thus, the amount of ₹ 120 Lacs should be credited to capital reserve.

(Note: Subsidy for setting up an industrial undertaking is considered to be in the nature of promoter's contribution)

(ii) As per AS 12 'Accounting for Government Grants', two methods of presentation in financial statements of grants related to specific fixed assets are regarded as acceptable alternatives –

(a) The grant is shown as a deduction from the gross value of the asset concerned in arriving at its book value. The grant is thus recognised in the profit and loss

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statement over the useful life of a depreciable asset by way of a reduced depreciation charge. Where the grant equals the whole, or virtually the whole, of the cost of the asset, the asset is shown in the balance sheet at a nominal value.

(b) Grants related to depreciable asset are treated as deferred income which is recognised in the profit and loss statement on a systematic and rational basis over the useful life of the asset.

In the given case, ₹ 15 Lacs was received as grant from the Central Government for installation of Effluent Treatment Plant. Since the grant was received for a fixed asset, either of the above methods can be adopted.

(iii) ₹ 25 lacs received from State Government for providing medical facilities to its workmen during the pandemic is a grant received in nature of revenue grant. Such grants are generally presented as credit in the profit and loss statement, either separately or under a general heading such as "Other Income". Alternatively, ₹ 25 lacs may be deducted in reporting the related expense i.e., employee benefit expense.

(d)

Gama Limited

Cash Flow Statement

For the Year Ended 31st March 2021

Particulars	Amount (₹'000)	Amount (₹'000)
Cash flow from Operating Activities:		
Cash receipts from customers	74,682	
Cash payments to suppliers	(54,918)	
Cash payments for wages & salaries	(1,863)	
Cash payments of overheads	(3,105)	
Cash Generated from Operations	14,796	
Payment of Taxation	(6,561)	
Net Cash from Operating Activities		8,235
Cash Flow from Investing Activities:		
Proceeds from sale of investments	459	
Proceeds from sale of Property, Plant and Equipment	3,456	
Purchase of Investments	(351)	
Purchase of Property, Plant and Equipment	(6,210)	
Net Cash Used in Investing Activities		(2,646)

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Cash Flow from Financing Activities:		
Proceeds from issue of shares	8,100	
Payment of Dividend	(2,160)	
Repayment of Bank Overdraft	(6,750)	
Interest paid on Bank Overdraft	(1,350)	
Net Cash Used in Financing Activities		(2,160)
Net Increase in Cash & Cash Equivalent		3,429
Cash and Cash Equivalent in the Beginning of the year		945
Cash and Cash Equivalent in the end of the year		4374

Question 2.

Mr. Z has made following transactions during the financial year 2020-21:

Investment 1: 8% Corporate Bonds having face value ₹100.

Date	*Particulars*
01-06-2020	*Purchased 36,000 Bonds at ₹86 cum-interest. Interest is payable on 30th September and 31st March every year*
15-02-2021	*Sold 24,000 Bonds at ₹92 ex-interest*

Interest on the bonds is received on 30th September and 31st March.

Investment 2 : Equity Shares of G Ltd having face value ₹10

Date	*Particulars*
01-04-2020	*Opening balance 8,000 equity shares at a book value of ₹190 per share*
01-05-2020	*Purchased 7,000 equity shares@ ₹230 on cum right basis; Brokerage of 1% was paid in addition.*
15-06-2020	*The company announced a bonus issue of 2 shares for every 5 shares held*
01-08-2020	*The company made a rights issue of 1 share for every 7 shares held at ₹230 per share. The entire money was payable by 31.08.2020*
25-08-2020	*Rights to the extent of 30% of his entitlements was sold @ ₹75 per share. The remaining rights were subscribed.*
16-09-2020	*Dividend @ ₹6 per share for the year ended 31.03.2020 was received on 16.09.2020. No dividend payable on Right issue and Bonus issue.*
01-12-2020	*Sold 7,000 shares @ 260 per share. Brokerage of 1% was incurred extra.*
25-01-2021	*Received interim dividend @ ₹3 per share for the year 2020-21.*
31-03-2021	*The shares were quoted in the stock exchange @ ₹260.*

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Both investments have been classified as Current investment in the books of Mr. Z. On 15th May 2021, Mr. Z decides to reclassify investment in equity shares of Z Ltd. as Long term Investment. On 15th May 2021, the shares were quoted in the stock exchange @ ₹180.*

You are required to:

(i) Prepare Investment Accounts in the books of Mr. Z for the year 2020-21, assuming that the average cost method is followed.

(ii) Profit and loss Account for the year 2020-21, based on the above information.

(iii) Suggest values at which investment in equity shares should be reclassified in accordance with AS 13. ***(20 Marks)***

Answer

(i) **In the books of Mr. Z**

Investment in 8% Corporate Bonds Account

For the period 01 April 2020 to 31 March 2021

Date	Particulars	Nos	Interest (₹)	Amount (₹)	Date	Particulars	Nos	Interest (₹)	Amount (₹)
1/6/20	To Bank A/c (WN1)	36,000	48,000	30,48,000	30/9/20	By Bank A/c (Interest 36,000 x 100 x 8% x 6/12)		1,44,000	
15/2/21	To Profit & Loss A/c (WN 3)			1,76,000	15/2/21	By Bank A/c (WN2)	24,000	72,000	22,08,000
31/3/21	To Profit & Loss A/c		2,16,000		31/3/21	By Bank A/c (Interest 12,000 x 100 x 8% x 6/12)		48,000	
						By Balance c/d (WN 4)	12,000		10,16,000
	Total	36,000	2,64,000	32,24,000		**Total**	36,000	2,64,000	32,24,000

Note: For computing the interest on the bonds sold on 15 Feb 2021, if number of days (138 days) is taken instead of months, the interest received on 15.02.2021 should be ₹72,592 and the total interest transferred to Profit & Loss Account should be ₹ 2,16,592.

**Wrongly printed as Z Ltd. in the question paper. It should have been given as G Ltd.*

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Investment in Equity Shares of G Ltd

For the period 1st April 2020 to 31 March 2021

Date	Particulars	Nos	Dividend (₹)	Amount (₹)	Date	Particulars	Nos	Dividend (₹)	Amount (₹)
01/4/20	To Balance b/d	8,000		15,20,000	16/9/20	By Bank A/c (WN 7)		48,000	42,000
01/5/20	To Bank A/c (WN 5)	7,000		16,26,100	1/12/20	By Bank A/c (WN 8)	7000		18,01,800
15/6/20	To Bonus Shares	6,000			25/1/21	By Bank A/c (WN 10)		48,300	
25/8/20	To Bank A/c (Right Shares) (WN 6)	2,100		4,83,000	31/3/21	By Balance c/d (WN 11)	16,100		25,00,100
01/12/20	To Profit & Loss A/c (Sale of shares) (WN 9)			7,14,800					
31/3/21	To Profit & Loss A/c		96,300						
	Total	23,100	96,300	43,43,900		Total	23,100	96,300	43,43,900

Working Notes

1. Computation of the Interest element in the bonds purchased on 01 June 2020

No of Bonds purchased	36,000
Face value per bond	₹ 100
Face value of the bonds purchased	₹ 36,00,000
Interest Rate	8%
Interest Amount	36,00,000 x 8% x 2/12 ₹ 48,000
Cum-interest per bond	₹ 86
Value of bond excluding interest	36,000 x ₹ 86 – ₹48,000 ₹ 30,48,000

2. Computation of the Interest element in the bonds sold on 15 Feb 2021

No of Bonds sold	24,000
Face value per bond	₹ 100

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Face value of the bonds sold	₹ 24,00,000
Interest Rate	8%
Interest Amount	₹ 24,00,000 x 8% x 4.5/12 = ₹ 72,000

3. Computation of Profit on Sale of Bonds on 15 Feb 2021

No of Bonds sold	24,000
Face value per bond	₹ 100
Ex- interest Rate per bond	₹ 92
Sales proceeds	₹ 22,08,000
Average Cost of Bonds	(30,48,000/36,000) x 24,000 ₹ 20,32,000
Profit on sale of bonds	Sale Proceeds – Average Cost ₹ 22,08,000 – ₹ 20,32,000 ₹ 1,76,000

4. Valuation of Bonds as on 31 March 2021

No of Bonds held as on 31 Mar 2021	12,000
Average Cost of Bonds	(₹ 30,48,000/36,000) x 12,000 ₹ 10,16,000

5. Computation of the cost of the equity shares purchased on 01 May 2020

No of shares purchased	7,000
Cum right price per share	₹ 230
Cost of purchase	₹ 16,10,000
Brokerage @1%	₹ 16,100
Cost including brokerage	₹ 16,26,100

6. Right Shares

No of Right Shares Issued	(8,000+7,000+6,000)/7 = 3,000 shares
No of right shares sold	3,000 shares x 30% = 900 shares
Proceeds from sale of right shares to be credited to statement of profit & loss	900 shares x ₹ 75 = ₹ 67,500
No of right shares subscribed	3,000-900 = 2,100 shares
Amount of right shares subscribed	2,100 x 230 = ₹ 4,83,000

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7. Computation of Dividend Received on 16 Sept 2020

No of shares held during the period of dividend	8,000 shares
Dividend per share	₹ 6
Dividend Amount	8,000 x 6 = ₹ 48,000
No of shares received after the period of dividend (excluding bonus & right shares)	7,000 shares
Dividend per share	₹ 6
Dividend Amount	7,000 x ₹ 6 = ₹ 42,000

The amount of dividend for the period for which the shares were not held by the investor has been treated as capital receipt. Thus ₹ 42,000 shall be treated as capital receipt

8. Sale Proceeds for the shares sold on 1st Dec. 2020

No of shares sold	7,000 Shares
Sale price per share	₹ 260
Proceeds from sale of share	7,000 x 260 = ₹ 18,20,000
Less: Brokerage @ 1%	₹ 18,200
Net Sale Proceeds	₹ 18,01,800

9. Profit on sale of shares on 1st Dec. 2020

Sales Proceeds	₹ 18,01,800
Average Cost	(15,20,000+16,26,100+4,83,000-42,000)/23,100x7,000 = ₹ 10,87,000
Profit on sale of shares	Sales Proceeds – Average Cost = ₹ 18,01,800 - ₹ 10,87,000 = ₹ 7,14,800

10. Computation of Amount of Interim Dividend

No of shares held	8,000+7,000+6,000+2,100-7,000 = 16,100
Dividend per share	₹ 3 per share
Dividend Received	16,100 shares x ₹ 3 per share = ₹ 48,300

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11. Valuation of Shares as on 31 March 2021

Cost of Shares	(15,20,000 + 16,26,100 + 4,83,000 – 42,000) / 23,100 x 16,100
	= 25,00,100
Market Value of Shares	₹ 260 x 16,100 = ₹ 41,86,000

Closing stock of equity shares has been value at ₹ 25,00,100 i.e. cost being lower than its market value.

(ii) Profit & Loss Account (Extract)

For the period 01 April 2020 to 31 March 2021

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance c/d	12,70,600	By Investment in 8% Corporate Bonds Account (Profit on sale of bonds)	1,76,000
		By Investment in 8% Corporate Bonds Account (Interest on bonds)	2,16,000
		By Sale of Right Shares	67,500
		By Investment in Equity Shares of G Ltd (Profit on sale of shares)	7,14,800
		By Investment in Equity Shares of G Ltd (Dividend Income)	96,300

(iii) As per AS 13, when investments are classified from Current Investments to Long term Investments, transfer is made at Cost and Fair value, whichever is less (as on the date of transfer). So, in the given case valuation shall be done as follows:

Date of reclassification/transfer – 15 May 2021

Per Unit Cost of 16,100 shares held – ₹ 25,00,100/16,100 shares – ₹ 155.29

Market Price/Fair Value per share – ₹ 180

As the cost per unit is lower than its fair value, the shares are to be transferred at its cost i.e., at ₹ 155.29 per share on 15 May 2021

Note:

1. In the eight last line of the question, investment in equity shares of G Ltd. was wrongly printed as Z Ltd. in the question paper. In the above solution, it has been considered as investment in G Ltd. If considered as Investment in equity shares in Z Ltd. (some other investment and not investment in G Ltd.), then the cost of the investment for shares in Z Ltd. will not be available.

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2. The entire amount of sale proceeds from rights has been credited to Profit and Loss account in the above solution. However, the sale proceeds of rights in respect of 7,000 shares (purchased cum right on 1.5.20) can be applied to reduce the carrying amount of such investments (without crediting it to profit and loss account) considering that the value of these shares has reduced after becoming their ex-right. In that case, ₹ 22,500 (67,500X 7/21) will be applied to reduce the carrying amount of investment and ₹ 45,000 will be credited to profit and loss account.

Question 3

(a) Manohar of Mohali has a branch at Noida to which the goods are supplied from Mohali but the cost thereof is not recorded in the Head Office books. On 31st March, 2020 the Branch Balance Sheet was as follows:

Liabilities	*₹*	*Assets*	*₹*
Creditors Balance	*62,000*	*Debtors Balance*	*2,24,000*
Head Office	*1,88,000*	*Building Extension A/c*	
		Closed by transfer to H.O. A/c	*-*
		Cash at Bank	*26,000*
	2,50,000		*2,50,000*

During the six months ending on 30-09-2020, the following transactions took place at Noida:

	₹		*₹*
Sales	*2,78,000*	*Manager's salary*	*16,400*
Purchases	*64,500*	*Collections from debtors*	*2,57,000*
Wages Paid	*24,000*	*Discounts allowed*	*16,000*
Salaries (inclusive of advance of ₹ 5,000)	*15,600*	*Discount earned*	*4,600*
General Expenses	*7,800*	*Cash paid to creditors*	*88,500*
Fire Insurance (Paid for one year)	*11,200*	*Building Account (further payment)*	*14,000*
Remittance to H.O.	*52,900*	*Cash in Hand*	*5,600*
		Cash at Bank	*47,000*

Set out the Head Office Account in Noida Books and the Branch Balance Sheet as on 30.09.2020. Also give journal entries in the Noida books. ***(10 Marks)***

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(b) *Mr. Arun runs a business of readymade garments. He closes the books of accounts on 31st March. The Balance Sheet as on 31st March, 2020 was as follows :*

Liabilities	₹	*Assets*	₹
Capital A/c	*5,05,000*	*Furniture*	*50,000*
Creditors	*1,02,500*	*Closing Stock*	*3,50,000*
		Debtors	*1,25,000*
		Cash in Hand	*35,000*
		Cash at Bank	*47,500*
	6,07,500		*6,07,500*

You are furnished with following information :

(1) His sales, for the year ended 31st March, 2021 were 20% higher than the sales of previous year, out of which 20% sales was cash sales.

Total Sales during the year 2019-20 were ₹ 6,25,000

(2) Payments for all the purchases were made by cheques only.

(3) Goods were sold for cash and credit both. Credit customers pay by cheques only.

(4) Deprecation on furniture is to be charged 10% p.a.

(5) Mr. Arun sent to the bank the collection of the month at the last date of each month after paying salary of ₹ 2,500 to the clerk, office expenses ₹ 1,500 and personal expenses ₹ 625.

Analysis of bank pass book for the year ending 31st March, 2021 disclosed the following:

	₹
Payment to creditors	*3,75,000*
Payment to rent up to 31st March, 2021	*20,000*
Cash deposited into bank during the year	*1,00,000*

The following are the balances on 31st March, 2021:

	₹
Stock	*2,00,000*
Debtors	*1,50,000*
Creditors for goods	*1,82,500*

On the evening of 31st March, 2021, the cashier absconded with the available cash in the cash book.

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You are required to prepare Trading and Profit and Loss A/c for the year ended 31st March, 2021 and Balance Sheet as on that date. All the working should form part of the answer. ***(10 Marks)***

Answer

(a) Journal Entries in the Books of Noida Branch

Particulars		Debit (₹)	Credit (₹)
Salary Advance A/c	Dr.	5,000	
To Salaries A/c			5,000
(Being the amount paid as advance adjusted by debit to Salary Advance A/c)			
Prepaid Insurance A/c (11,200 X 6/12)	Dr.	5,600	
To Fire Insurance A/c			5,600
(Being the six months premium transferred to the Prepaid Insurance A/c)			
Head Office A/c	Dr.	1,44,900	
To Purchases A/c			64,500
To Wages A/c			24,000
To Salaries A/c (15,600 – 5,000)			10,600
To General Expenses A/c			7,800
To Fire Insurance A/c (11,200 X 6/12)			5,600
To Manager's Salary A/c			16,400
To Discount Allowed A/c			16,000
(Being the transfer of various revenue accounts to the HO A/c for closing the accounts)			
Sales A/c	Dr.	2,78,000	
Discount Earned A/c	Dr.	4,600	
To Head Office A/c			2,82,600
(Being the transfer of various revenue accounts to HO)			
Head Office A/c	Dr.	14,000	
To Building A/c			14,000
(Being the transfer of amounts spent on building extension to HO A/c)			

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Head Office Account

2020	Particulars	Amount (₹)	2020	Particulars	Amount (₹)
Sept 30	To Cash Remittance	52,900	April 1	By Balance b/d	1,88,000
	To Sundries* (Revenue)	1,44,900		By Sundries* (Revenue)	2,82,600
	To Building A/c	14,000			
	To Balance c/d	2,58,800			
	Total	4,70,600		Total	4,70,600

** Instead of using Sundries (Revenue) A/c, the concerned revenue accounts can be posted in the ledger.*

Balance Sheet of Noida Branch
As at 30th Sept 2020

Liabilities	Amount (₹)	Assets	Amount (₹)
Creditors	33,400	Debtors	2,29,000
Head Office A/c	2,58,800	Salary Advance	5,000
		Prepaid Insurance	5,600
		Building Extension A/c transferred to HO	
		Cash in Hand	5,600
		Cash at Bank	47,000
Total	2,92,200	Total	2,92,200

Working Notes

Cash and Bank Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d	26,000	By Wages	24,000
To Collection from debtors	2,57,000	By Salaries	15,600
		By Insurance	11,200
		By General Expenses	7,800
		By HO A/c	52,900
		By Manager's Salary	16,400
		By Creditors	88,500

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		By Building A/c	14,000
		By Balance c/d	
		- Cash in Hand	5,600
		- Cash at bank	47,000
Total	2,83,000	Total	2,83,000

Debtors Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d	2,24,000	By Cash Collection	2,57,000
To Sales A/c	2,78,000	By Discount (Allowed)	16,000
		By Balance c/d	2,29,000
Total	5,02,000	Total	5,02,000

Creditors Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Cash A/c	88,500	By Balance b/d	62,000
To Discount (Earned)	4,600	By Purchases	64,500
To Balance c/d	33,400		
Total	1,26,500	Total	1,26,500

Note:

Since the date of payment of fire insurance has not been mentioned in the question, it is assumed that it was paid on 01 April 2020. Alternative answer considering otherwise also possible.

(b) In the books of Mr. Arun

Trading and Profit and Loss Account for the Year Ended 31st March 2021

Particulars	Amount (₹)	Particulars	Amount (₹)
To Opening Stock	3,50,000	By Sales (W.N. 3)	
To Purchases (W.N.1)	4,55,000	Credit	6,00,000
To Gross Profit (b.f.)	1,45,000	Cash	1,50,000
		By Closing Stock	2,00,000
Total	9,50,000	Total	9,50,000
To Salary (₹ 2,500 x 12)	30,000	By Gross Profit	1,45,000

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To Rent	20,000		
To Office Expenses (₹ 1,500 x 12)	18,000		
To Loss of Cash (W.N.6)	29,500		
To Depreciation on furniture	5,000		
To Net Profit (b.f.)	42,500		
Total	1,45,000	Total	1,45,000

Balance Sheet

As on 31st March 2021

Liabilities		Amount (₹)	Assets		Amount (₹)
Arun's Capital	5,05,000		Furniture	50,000	
Add: Profit	42,500		Less: Depreciation	(5,000)	45,000
Less: Drawings	(7,500)	5,40,000	Stock		2,00,000
(₹ 625 X12)			Debtors		1,50,000
Creditors		1,82,500	Cash at bank		3,27,500
Total		7,22,500	Total		7,22,500

Working Notes:

(1) Calculation of Purchases

Creditors Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Bank A/c	3,75,000	By Balance b/d	1,02,500
To Balance c/d	1,82,500	By Purchases (Bal Fig)	4,55,000
Total	5,57,500	Total	5,57,500

(2) Calculation of Total Sales

Particulars	Amount (₹)
Sales for the year 2019-20	6,25,000
Add: 20% increase	1,25,000
Total sales for the year 2020-21	7,50,000

(3) Calculation of Credit Sales

Particulars	Amount (₹)
Total Sales	7,50,000

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Less: Cash sales (20% of total sales)	(1,50,000)
Credit sales	6,00,000

(4) Calculation of cash collected from debtors

Debtors Account

Particulars	(₹)	Particulars	(₹)
To Balance b/d	1,25,000	By Bank A/c (Bal Fig)	5,75,000
To Sales A/c	6,00,000	By Balance c/d	1,50,000
Total	7,25,000	Total	7,25,000

(5) Calculation of closing balance of cash at bank

Bank Account

Particulars	(₹)	Particulars	(₹)
To Balance b/d	47,500	By Creditors A/c	3,75,000
To Debtors A/c	5,75,000	By Rent A/c	20,000
To Cash A/c	1,00,000	By Balance c/d (b.f)	3,27,500
Total	7,22,500	Total	7,22,500

(6) Calculation of the amount of cash defalcated by the cashier

Particulars	Amount (₹)
Cash Balance as on 1st April 2020	35,000
Add: Cash sales during the year	1,50,000
Less: Salary	(30,000)
Office Expenses	(18,000)
Drawings of Arun	(7,500)
Cash deposited into bank during the year	(1,00,000)
Cash Balance as on 31 March 2021 (defalcated by the cashier)	29,500

Question 4

The following is the Trial Balance of H Ltd., as on 31st March, 2021:

	Dr.	*Cr.*
Equity Capital (Shares of ₹ 100 each)		*8,05,000*
5,000, 6% preference shares of ₹ 100 each		*5,00,000*
9% Debentures		*4,00,000*

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General Reserve		*40,00,000*
Profit & Loss A/c (of previous year)		*72,000*
Sales		*60,00,000*
Trade Payables		*10,40,000*
Provision for Depreciation on Plant & Machinery		*1,72,000*
Suspense Account		*40,000*
Land at cost	*24,00,000*	
Plant & Machinery at cost	*7,70,000*	
Trade Receivables	*19,60,000*	
Inventories (31-03-2020)*	*9,50,000*	
Bank	*2,30,900*	
Adjusted Purchases	*22,32,100*	
Factory Expenses	*15,00,000*	
Administration Expenses	*3,00,000*	
Selling Expenses	*14,00,000*	
Debenture Interest	*36,000*	
Goodwill	*12,50,000*	
	1,30,29,000	*1,30,29,000*

Additional Information:

(i) *The authorised share capital of the company is :* *₹*

5,000, 6% preference shares of ₹100 each *5,00,000*

10,000, equity shares of ₹100 each *10,00,000*

Issued equity capital as on 1st April 2020 stood at ₹7,20,000, that is 6,000 shares fully paid and 2,000 shares of ₹60 paid. The directors made a call of ₹40 per share on 1st October 2020. A shareholder could not pay the call on 100 shares and his shares were then forfeited and reissued @ ₹90 per share as fully paid.

(ii) *On 31st March 2021, the Directors declared a dividend of 5% on equity shares, transferring any amount that may be required from General Reserve. Ignore Taxation.*

(iii) *The company on the advice of independent valuer wishes to revalue the land at ₹36,00,000.*

* *This should have been given as 31.3.2021.*

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(iv) Suspense account of ₹ 40,000 represents amount received for the sale of some of the machinery on 1-4-2020. The cost of the machinery was ₹ 1,00,000 and the accumulated depreciation thereon being ₹ 30,000.

(v) Depreciation is to be provided on plant and machinery at 10% on cost.

(vi) Amortize 1/5th of Goodwill.

You are required to prepare H Limited's Balance Sheet as on 31-3-2021 and Statement of Profit and Loss with notes to accounts for the year ended 31-3-2021 as per Schedule III of the Companies Act, 2013. Ignore previous years' figures & taxation. ***(20 Marks)***

Answer

H Ltd
Balance Sheet as at 31st March 2021

Particulars	Note No	Amount in ₹
Equity and Liabilities		
I. Shareholders' Funds		
a. Share Capital	1	13,00,000
b. Reserves and Surplus	2	53,91,900
II. Non-Current Liabilities		
a. Long Term Borrowings	3	4,00,000
III. Current Liabilities		
a. Trade Payables	4	10,40,000
b. Other Current Liabilities	5	70,000
Total		82,01,900
Assets		
I. Non-Current Assets		
a. Property, Plant and Equipment	6	40,61,000
b. Intangible Assets	7	10,00,000
II. Current Assets		
a. Inventories		9,50,000
b. Trade Receivables		19,60,000
c. Cash and Cash equivalents		2,30,900
Total		82,01,900

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Statement of Profit and Loss for the year ended 31st March 2021

Particulars		Note No	Amount in ₹
I.	**Revenue from operations**		60,00,000
	Total Revenue		60,00,000
II.	**Expenses**		
	Purchases (adjusted)		22,32,100
	Finance Costs	8	36,000
	Depreciation and Amortization	9	3,17,000
	Other Expenses	10	32,30,000
	Total Expenses		58,15,100
III.	**Profit/(Loss) for the period**		1,84,900

Notes to Accounts **(Amount in ₹)**

1	**Share Capital**		
	a. Authorized Capital		
	5,000, 6% Preference shares of ₹ 100/- each		5,00,000
	10,000 Equity Shares of ₹100/- each		10,00,000
			15,00,000
	b. Issued & Subscribed Capital		
	5,000, 6% Preference shares of ₹100/- each		5,00,000
	8,000, Equity shares of ₹100/- each		8,00,000
	Total		13,00,000
2	**Reserves & Surplus**		
	Capital Reserve (100 X (90-40))		5,000
	Revaluation Reserve (36,00,000-24,00,000)		12,00,000
	General Reserve		40,00,000
	Surplus	1,84,900	
	Add: Balance from previous year	72,000	
	Less: Dividends declared	(70,000)	
	Profit/(Loss) carried forward to Balance Sheet		1,86,900
	Total		53,91,900

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3	**Long-Term Borrowings**			
	Secured			
	9% Debentures			4,00,000
4	**Trade Payables**			10,40,000
5	**Other Current Liabilities**			
	Dividend Payable			
	Preference Dividend			30,000
	Equity Dividend			40,000
		Total		70,000
6	**Property, Plant and Equipment**			
	Land			
	Opening balance		24,00,000	
	Add: Revaluation Adjustment		12,00,000	
	Closing Balance			36,00,000
	Plant and Machinery			
	Opening Balance		7,70,000	
	Less: Disposed off		(1,00,000)	
	Depreciation		(2,09,000)	
	Closing Balance			4,61,000
		Total		40,61,000
7	**Intangible Assets**			
	Goodwill			12,50,000
	Less: Amortized (1/5th)			(2,50,000)
		Total		10,00,000
8	**Finance Costs**			
	Debenture Interest			36,000
9	**Depreciation and Amortization**			
	Plant and Machinery			67,000
	Goodwill			2,50,000
		Total		3,17,000
10	**Other Expenses**			
	Factory Expenses			15,00,000

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	Selling Expenses		14,00,000
	Administrative Expenses		3,00,000
	Loss on sale of Plant and Machinery		
	Book Value (1,00,000-30,000)	70,000	
	Less: Sale Value	(40,000)	30,000
	Total		32,30,000

Note

1. The inventories (31.3.20) amounting ₹ 9,50,000 (given in the trial balance of the question) should have been as closing inventory i.e. as on 31.3.21. In the above solution, this inventory has been considered as closing inventory i.e. for 31.3.21. If this is considered as inventory of 31.3.20, the closing inventory (as on 31.3.21) will not be available for the balance sheet as on 31.3.21 and in that case, the balance sheet will not tally without using suspense account amounting ₹ 9,50,000.
2. The financial statements given in the above answer include adjustment for dividend declared on 31st March, 2021, strictly, as per the information given in the question. However, practically dividends are declared in the annual general meetings which take place after the reporting date.

Question 5

(a) The firm, M/s K Creations has two Departments, Dyed fabric and Readymade garments. Readymade garments are made by the firm itself. Both dyed fabric and readymade garments have independent market. Some of readymade garment department's requirement is supplied by Dyed Fabric Department at its usual Selling Price.

From the following figures, prepare Departmental Trading and Profit & Loss Account for the year ended 31st March 2021.

Particulars	*Dyed Fabric Department*	*Readymade garments department*
Opening stock as on April 1, 2020	*5,40,000*	*15,20,000*
Purchases (excluding inter department transfers)	*20,12,080*	*1,50,00,000*
Sales (excluding inter department transfers)	*31,06,000*	*3,12,50,000*
Transfer to Readymade garment	*5,00,000*	-
Direct wages	*3,00,000*	*67,30,000*
Direct expenses	*1,00,000*	*19,50,000*

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Plant and Equipment for dyeing/stitching readymade garments (WDV as on April 1, 2020)	*5,00,000*	*15,00,000*
Rent and warehousing	*4,50,000*	*12,00,000*
Stock as on March 31st 2021	*6,00,000*	*22,50,000*

The following further information are available for necessary consideration:

(i) The Stock in Readymade garments department may be considered as consisting of 60% of dyed fabric and 40% of Other Expenses.

(ii) The Dyed Fabric Department earned a Gross Profit @ 30% in 2019-2020.

(iii) On the plant and equipment, depreciation @ 20% p.a. to be provided.

(iv) The following expenses incurred for both the departments were not apportioned between the departments:

	₹
(a) Salaries	*2,70,000*
(b) Advertisement expenses	*90,000*
(c) General expenses	*8,00,000*

(v) Salaries in 1:2 ratio, Advertisement expenses in the turnover ratio and General expenses in 1:3 ratio are to be apportioned between the Dyed Fabric Department and Readymade Department respectively. ***(10 Marks)***

(b) AB Limited (a listed company) recently made a public issue in respect of which the following information is available:

(i) No. of partly convertible 8% debentures issued 3,00,000; face value and issue price ₹100 per debenture.

(ii) Convertible portion per debenture- 60%, date of conversion- on expiry of 7 months from the date of closing of issue.

(iii) Date of closure of subscription lists 1-5-2020, date of allotment 1-6-2020, rate of interest on debenture 8% payable from the date of allotment, market value of equity share as on date of conversion ₹60 (Face Value ₹10).

(iv) Underwriting Commission 1%

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(v) No. of debentures applied for 2,50,000.

(vi) Interest payable on debentures half-yearly on 30th September and 31st March.

Write relevant journal entries for all transactions arising out of the above during the year ended 31st March, 2021 (including cash and bank entries). ***(10 Marks)***

Answer

(a)

M/s K Creations

Departmental Trading and Profit & Loss Account

For the Year Ended 31st March 2021

Particulars	Dyed Fabric Department (₹)	Readymade Garments Department (₹)	Total (₹)	Particulars	Dyed Fabric Department (₹)	Readymade Garments Department (₹)	Total (₹)
To Opening Stock	5,40,000	15,20,000	20,60,000	By Sales	31,06,000	3,12,50,000	3,43,56,000
To Purchases	20,12,080	1,50,00,000	1,70,12,080	By Transfer to Readymade Garments	5,00,000		5,00,000
To Transfer from Dyed Fabric Department		5,00,000	5,00,000	By Closing Stock	6,00,000	22,50,000	28,50,000
To Direct Wages	3,00,000	67,30,000	70,30,000				
To Direct Expenses	1,00,000	19,50,000	20,50,000				
To Depreciation*	1,00,000	3,00,000	4,00,000				
To Gross Profit	11,53,920	75,00,000	86,53,920				
Total	42,06,000	3,35,00,000	3,77,06,000	Total	42,06,000	3,35,00,000	3,77,06,000
To Rent and Warehousing	4,50,000	12,00,000	16,50,000	By Gross Profit	11,53,920	75,00,000	86,53,920
To Salaries	90,000	1,80,000	2,70,000				
To Advertisement Expenses	8,137	81,863	90,000				
To General Expenses	2,00,000	6,00,000	8,00,000				
To Net Profit	4,05,783	54,38,137	58,43,920				
Total	11,53,920	75,00,000	86,53,920	Total	11,53,920	75,00,000	86,53,920

* *Shown here as it relates with property, plant & equipment used for dyeing/stitching garments.*

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Profit and Loss Account (Combined)

Particulars	Amt (₹)	Particulars	Amt (₹)
To Unrealized Profit (WN)	1,58,400	By Net Profit	58,43,920
To General Net Profit	56,85,520		
Total	58,43,920	Total	58,43,920

Calculation of Stock Reserve

Rate of Gross Profit of Dyed Fabric Department for the year 2020-21

= 11,53,920 / (31,06,000+5,00,000) X 100 = 32%

Closing stock of Dyed Fabric in Readymade Garments Department

= 22,50,000 x 60% = ₹ 13,50,000

Stock reserve required for unrealized profit @ 32% on closing stock

= 13,50,000 x 32% = ₹ 4,32,000

Stock reserve for unrealized profit included in opening stock of Readymade Garments Department = ₹ 15,20,000 x 60% x 30% = ₹ 2,73,600

Additional stock reserve required = ₹ 4,32,000 - ₹ 2,73,600 = ₹ 1,58,400

(b)

Date	Particulars	Debit (₹)	Credit (₹)
1.05.2020	Bank A/c Dr.	2,50,00,000	
	To Debenture Application A/c		2,50,00,000
	(Being application money received on 2,50,000 debentures @ ₹100/- each)		
1.06.2020	Debenture Application A/c Dr.	2,50,00,000	
	Underwriters A/c Dr.	50,00,000	
	To 8% Debentures A/c		3,00,00,000
	(Being allotment of 2,50,000 debentures to applicants and 50,000 debentures to underwriters)		
1.06.2020	Underwriting Commission A/c Dr.	3,00,000	
	To Underwriters A/c		3,00,000
	(Being commission payable to underwriters @ 1% on ₹ 3,00,00,000)		
1.06.2020	Bank A/c Dr.	47,00,000	
	To Underwriters A/c		47,00,000

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	(Being amount received from underwriters in settlement)		
1.06.2020	Debenture Redemption Investments A/c Dr. To Bank A/c (3, 00,000 x 100 x 15% x 40% - Being investments for redemption purposes)	18,00,000	18,00,000
30.09.2020	Debenture Interest A/c Dr. To Bank (Being interest paid on debentures for 4 months @ 8% on ₹ 3,00,00,000)	8,00,000	8,00,000
30.11.2020	8% Debentures A/c Dr. To Equity Share Capital A/c To Securities Premium A/c (Being conversion of 60% of the debentures into shares of ₹ 60 each with a face value of ₹10/-)	1,80,00,000	30,00,000 1,50,00,000
31.03.2021	Debenture Interest A/c Dr. To Bank A/c (Being interest paid on debentures for 6 months @ 8%)	7,20,000	7,20,000

Working Note:

Calculation of Debenture Interest for the half year ended 31st March, 2021

On ₹ 1,20,00,000 for 6 months @ 8% = ₹4,80,000

On ₹ 1,80,00,000 for 2 months @ 8% = ₹ 2,40,000

₹7,20,000

Question 6

*Answer any **four** of the following:*

(a) *A trader commenced business on April 1, 2020 with ₹1,20,000 represented by 6,000 units of a certain product at ₹20 per unit. During the year 2020-21 he sold these units at ₹30/- per unit and had withdrawn ₹60,000. The price of the product at the end of financial year was ₹25/- per unit. Compute retained profit of the trader under the concept of physical capital maintenance at current cost. Also state, whether answer would be different if the trader had not withdrawn any amount.*

(b) *On 13th Jan, 2021 fire occurred in the premises of Mr. X, a cloth merchant. The goods were totally destroyed. From the books of account, for the period 01-04-2020 to the date of fire the following particulars were available:*

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Particulars	*₹*
Stock as on 01-04-2020	*57,000*
Purchases	*3,05,000*
Manufacturing Expenses	*60,000*
Selling Expenses	*24,200*
Sales	*4,98,000*

At the time of valuing stock as on 31st March, 2020, a sum of ₹7,000 was written off on a particular item, which was originally purchased for ₹20,000 and was sold during the year for ₹18,000. Barring the transaction relating to this item, the gross profit earned during the period was 25% on sales. Mr. X has insured his stock for ₹40,000. Compute the amount of the claim.

(c) *An Engineer purchased a compressing machine on hire purchase system. As per the terms he is required to pay ₹1,40,000 down, ₹1,06,000 at the end of first year, ₹98,000 at the end of the second year ₹87,000 at the end of the third year and ₹55,000 at the end of fourth year. Interest charged @ 12% p.a. You are required to calculate total cash price of the machine and the interest paid with each installment.*

(d) *S. Ltd. was incorporated on 30th November 2020 to take over the running business of proprietorship firm of Mr. S. The various expenses debited to the profit and loss Account for the year 2020-21 included:*

(i) Directors fees

(ii) Preliminary expenses written off

(iii) Salaries and general expenses

(iv) Statutory Audit fees

(v) Tax Audit fees u/s 44 AB of the Income Tax Act, 1961

(vi) Commission to travelling agents

(vii) Sale promotion expenses

(viii) Advertisement expenses

(ix) Rent expenses

(x) Bad debts

You are required to determine the basis of apportionment of above expenses between pre incorporation and post incorporation periods.

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(e) Following is the extract of the Balance Sheet of K Ltd (listed company) as at 31st March, 2020

Authorized capital:	*₹*
3,00,000 Equity shares of ₹10 each	*30,00,000*
	30,00,000
Issued and Subscribed capital:	
2,00,000 Equity shares of ₹10 each, ₹8 paid up	*16,00,000*
Reserves and surplus:	
General Reserve	*3,60,000*
Capital Redemption Reserve	*1,20,000*
Securities premium (not realised in cash)	*75,000*
Profit and Loss Account	*6,00,000*

On 1st April, 2020, the Company has made final call @ ₹2 each on 2,00,000 equity shares. The call money was received by 25th April, 2020. Thereafter, the company decided to capitalize its reserves by way of bonus at the rate of one share for every four shares held.

Show necessary entries in the books of the company and prepare the extract of the Balance Sheet immediately after bonus issue. ***(4 Parts x 5 Marks = 20 Marks)***

Answer

(a) Physical Capital Maintenance at Current Cost

In the given case, the specific price index applicable to the product is 125 (25/20X100).

Current cost of opening stock = (₹ 1,20,000 / 100) x 125 Or 6,000 units x ₹ 25 = ₹ 1,50,000

Current cost of closing cash = ₹ 1,20,000 (₹ 1,80,000 – ₹ 60,000)

Opening equity at closing current costs = ₹ 1,50,000

Closing equity at closing current costs = ₹ 1,20,000

Retained Profit = ₹ 1,20,000 – ₹ 1,50,000 = (-) ₹ 30,000

The negative retained profit indicates that the trader has failed to maintain his capital. The available fund of ₹ 1, 20,000 is not sufficient to buy 6,000 units again at increased price of ₹ 25 per unit. The drawings should have been restricted to ₹ 30,000 (₹ 60,000 – ₹ 30,000).

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If the trader had not withdrawn any amount, then the answer would have been as below:

Current cost of opening stock = ₹ 1,80,000

Opening equity at closing current costs = ₹ 1,50,000

Retained Profit = ₹ 1,80,000 – ₹ 1,50,000 = ₹ 30,000

If the trader had not withdrawn any amount, then the retained profit would have been ₹ 30,000.

(b) Computation of claim for loss of stock

Memorandum Trading Account as on 13.01.2021

Particulars	Normal	Abnormal	Total	Particulars	Normal	Abnormal	Total
To Opening Stock	44,000	13,000	57,000	By Sales	4,80,000	18,000	4,98,000
To Purchases	3,05,000	-	3,05,000	By Closing Stock	49,000	-	49,000
To Manufacturing Expenses	60,000	-	60,000				
To Gross Profit	1,20,000	5,000	1,25,000				
Total	5,29,000	18,000	5,47,000	Total	5,29,000	18,000	5,47,000

Insurance policy was for ₹ 40,000 as such goods are under-insured. The amount of claim should be restricted to the policy amount, ie. ₹ 40,000.

(c) Ratio of interest and amount due = $\frac{\text{Rate of interest}}{100 + \text{Rate of interest}} = \frac{12}{112}$

No of instalments	Instalment amount (₹)	Amount due at the time of instalment (₹)	Interest (₹)	Principal due at the beginning (₹)
(1)		(2)	(3)	(4)
4th	55,000	55,000	5,893	49,107
3rd	87,000	1,36,107	14,583	1,21,524
2nd	98,000	2,19,524	23,520	1,96,004
1st	1,06,000	3,02,004	32,358	2,69,646

Total Cash Price = ₹ 1,40,000 + ₹ 2,69,646 = ₹ 4,09,646

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(d)

No.	Particulars	Basis of apportionment
(i)	Directors Fees	Charge to Post incorporation period
(ii)	Preliminary Expenses written off	Charge to Post incorporation period
(iii)	Salaries and general expenses	Time ratio
(iv)	Statutory Audit Fees	Charge to Post incorporation period
(v)	Tax Audit Fees u/s 44 AB of the Income Tax Act, 1961	On the basis of sales /turnover ratio in the respective periods
(vi)	Commission to travel agents	On the basis of sales / turnover ratio in the respective periods
(vii)	Sales Promotion expenses	On the basis of sales / turnover ratio in the respective periods
(viii)	Advertisement Expenses	On the basis of sales / turnover ratio in the respective periods
(ix)	Rent Expenses	Time Ratio
(x)	Bad Debts	On the basis of sales / turnover ratio in the respective periods

(e) Journal Entries

Date	Particulars		₹	₹
1.04.2020	Equity Share Final Call A/c	Dr.	4,00,000	
	To Equity Share Capital A/c			4,00,000
	(Being final call of ₹ 2/- per share on 2,00,000 equity shares due as per Board's resolution dated …….)			
25.04.2020	Bank A/c	Dr.	4,00,000	
	To Equity Share Final Call A/c			4,00,000
	(Final Call money on 2,00,000 equity shares received)			
	Capital Redemption Reserve A/c	Dr.	1,20,000	
	General Reserve A/c	Dr.	3,60,000	
	Profit and Loss A/c	Dr.	20,000	

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	To Bonus to shareholders		5,00,000
	(Being provision for bonus shares at one share for every four shares held as per Board's resolution dated……)*		
	Bonus to shareholders Dr.	5,00,000	
	To Equity Share Capital A/c		5,00,000
	(Being issue of bonus shares)		

**Any other logical method for utilization of reserves may be followed as per the Companies Act, 2013.*

Extract of Balance Sheet

Authorized Capital	₹
3,00,000 Equity shares of ₹ 10/- each	30,00,000
Issued and Subscribed Capital	
2,50,000 Equity shares of ₹10/- each, fully paid	25,00,000
(Out of the above 50,000 Equity shares ₹10/- each were issued by way of bonus shares)	
Reserves and Surplus	
Securities premium (not realized in cash)	75,000
Profit and Loss Account	5,80,000

Note: As per SEBI regulations, securities premium should be realized in cash, whereas under the Companies Act, 2013 there is no such requirement. In accordance with Section 52, securities premium may arise on account of issue of shares other than by way of cash. Thus, for unlisted companies, securities premium (not realized in cash) may be used for issue of bonus shares, whereas the same cannot be used in case of listed companies.

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PAPER – 2 : CORPORATE & OTHER LAW

*Question No. **1** is compulsory.*

*Attempt any **three** questions from the remaining **four** questions.*

Question 1

(a) *The information extracted from the audited Financial Statement of Smart Solutions Private Limited as at 31st March, 2020 is as below:*

(1) *Paid-up equity share capital ₹ 50,00,000 divided into 5,00,000 equity shares (carrying voting rights) of ₹ 10 each. There is no change in the paid-up share capital thereafter.*

(2) *The turnover is ₹ 2,00,00,000.*

It is further understood that Nice Software Limited, which is a public limited company, is holding 2,00,000 equity shares, fully paid-up, of Smart Solutions Private Limited. Smart Solutions Private Limited has filed its Financial Statement for the said year with the Registrar of Companies (ROC) excluding the Cash Flow Statement within the prescribed time line during the financial year 2020-21. The ROC has issued a notice to Smart Solutions Private Limited as it has failed to file the cash flow statement along with the Balance Sheet and Profit and Loss Account. You are to advise on the following points explaining the provisions of the Companies Act, 2013:

(i) *Whether Smart Solutions Private Limited shall be deemed to be a small company whose significant equity shares are held by a public company?*

(ii) *Whether Smart Solutions Private Limited has defaulted in filing its financial statement?* ***(6 Marks)***

(b) (i) *The balances extracted from the financial statement of ABC Limited are as below:*

Sr. No.	*Particulars*	*Balances as on 31-03-2020 as per Audited Financial Statement (₹ in crore)*	*Balances as on 30-09-2020 (Provisional ₹ in crore)*
1.	*Net Worth*	*100.00*	*100.00*
2.	*Turnover*	*500.00*	*1000.00*
3.	*Net Profit*	*1.00*	*5.00*

Explaining the provisions of the Companies Act, 2013, you are requested to examine whether ABC Limited is required to constitute 'Corporate Social Responsibility Committee' (CSR Committee) during the second half of the financial year 2020-21. ***(3 Marks)***

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(ii) ASR Limited declared dividend at its Annual General Meeting held on 31-12-2020. The dividend warrant to Mr. A, a shareholder was posted on 22nd January, 2021. Due to postal delay Mr. A received the warrant on 5th February, 2021 and encashed it subsequently. Can Mr. A initiate action against the company for failure to distribute the dividend within 30 days of declaration under the provisions of the Companies Act, 2013? ***(3 Marks)***

(c) Paul (minor) purchased a smart phone on credit from a mobile dealer on the surety given by Mr. Jack, (a major). Paul did not pay for the mobile. The mobile dealer demanded the payment from Mr. Jack because the contract entered with Paul (minor) is void. Mr. Jack argued that he is not liable to pay the amount since Paul (Principal Debtor) is not liable. Whether the argument is correct under the Indian Contract Act, 1872?

What will be your answer if Jack and Paul both are minor? ***(4 Marks)***

(d) A signs his name on a blank cheque with 'not negotiable crossing' which he gives to B with an authority to fill up a sum of ₹ 3,000 only. But B fills it for ₹ 5,000. B then endorsed it to C for a consideration of ₹ 5,000 who takes it in good faith. Examine whether C is entitled to recover the full amount of the instrument from B or A as per the provisions of the Negotiable Instruments Act, 1881. ***(3 Marks)***

Answer

(a) (i) According to section 2(85) of the Companies Act, 2013, small company means a company, other than a public company, having-

(A) paid-up share capital not exceeding fifty lakh rupees or such higher amount as may be prescribed which shall not be more than ten crore rupees; and

(B) turnover as per profit and loss account for the immediately preceding financial year not exceeding two crore rupees or such higher amount as may be prescribed which shall not be more than one hundred crore rupees:

Provided that nothing in this clause shall apply to a holding company or a subsidiary company.

Also, according to section 2(87), subsidiary company, in relation to any other company (that is to say the holding company), means a company in which the holding company exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies.

In the given question, Nice Software Limited (a public company) holds 2,00,000 equity shares of Smart Solutions Private Limited (having paid up share capital of 5,00,000 equity shares @ ₹ 10 totalling ₹ 50 lakhs). Hence, Smart Solutions Private Limited is not a subsidiary of Nice Software Limited and hence it is a private company and not a deemed public company.

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Further, the paid up share capital (₹ 50 lakhs) and turnover (₹ 2 crores) is within the limit as prescribed under section 2(87), hence, Smart Solutions Private Limited can be categorised as a small company.

(ii) According to section 2 (40), Financial statement in relation to a company, includes—

(a) a balance sheet as at the end of the financial year;

(b) a profit and loss account, or in the case of a company carrying on any activity not for profit, an income and expenditure account for the financial year;

(c) cash flow statement for the financial year;

(d) a statement of changes in equity, if applicable; and

(e) any explanatory note annexed to, or forming part of, any document referred to in points (a) to (d):

Provided that the financial statement, with respect to One Person Company, small company and dormant company, may not include the cash flow statement.

Smart Solutions Private Limited being a small company is exempted from filing a cash flow statement as a part of its financial statements. Thus, Smart Solutions Private Limited has not defaulted in filing its financial statements with ROC.

(b) (i) According to section 135(1) of the Companies Act, 2013, every company having net worth of rupees five hundred crore or more, or turnover of rupees one thousand crore or more or a net profit of rupees five crore or more during the immediately preceding financial year shall constitute a Corporate Social Responsibility Committee of the Board consisting of three or more directors, out of which at least one director shall be an independent director.

In the given question, the company does not fulfil any of the given criteria (net worth/ turnover/ net profit) for the immediately preceding financial year (i.e., 1.4.2019 to 31.3.2020). Hence, ABC Limited is not required to constitute Corporate Social Responsibility Committee for the financial year 2020-21.

(ii) Section 127 of the Companies Act, 2013, requires that the declared dividend must be paid to the entitled shareholders within the prescribed time limit of thirty days from the date of declaration of dividend. In case dividend is paid by issuing dividend warrants, such warrants must be posted at the registered addresses within the prescribed time. Once posted, it is immaterial whether the same are received within thirty days by the shareholders or not.

In the given question, the dividend was declared on 31.12.2020 and the dividend warrant was posted within 30 days from date of declaration of dividend (posted on 22nd January, 2021). It is immaterial if Mr. A has received it on 5th February 2021 (i.e., post 30 days from 31.12.2020). Hence, Mr. A cannot initiate action against the

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company for failure to distribute the dividend within 30 days of declaration.

(c) In the case of a contract of guarantee, where a minor is a principal debtor, the contract is still valid.

In the given question, the contract is a valid contract and Jack (major) shall be liable to pay the amount even if Paul (Principal debtor) is not liable (as Paul is minor).

If both Jack and Paul are minors then the agreement of guarantee is void because the surety as well as the principal debtor are incompetent to contract.

(d) As per section 130 of the Negotiable Instruments Act, 1881, a cheque marked "not negotiable" is a transferable instrument. The inclusion of the words 'not negotiable' however makes a significant difference in the transferability of the cheques i.e., they cannot be negotiated. The holder of such a cheque cannot acquire title better than that of the transferor.

In the given question, A gave to B the blank cheque with 'not negotiable crossing'. B had an authority to fill only a sum of ₹ 3,000 but he filled it up ₹ 5,000. This makes B's title defective. B then endorsed it to C for consideration of ₹ 5,000.

In the light of above stated facts and provision, C is not entitled to recover the full amount from A or B as C cannot acquire a title better than that of the transferor (B).

Question 2

(a) Examine the validity of the following statements in respect of Annual General Meeting (AGM) as per the provisions of the Companies Act, 2013:

(i) The first AGM of a company shall be held within a period of six months from the date of closing of the first financial year.

(ii) The Registrar may, for any special reason, extend the time within which the first AGM shall be held.

(iii) Subsequent (second onwards) AGMs should be held within 6 months from closing of the financial year.

(iv) There shall be a maximum interval of 15 months between two AGMs. ***(4 Marks)***

(b) (i) KSR Limited, an unlisted company furnishes the following data :

(a) Paid-up share capital as on 31-3-2021 ₹ 45 Crore.

(b) Turnover for the year ended 31-3-2021 ₹ 175 Crore

(c) Outstanding loan from bank as on 3-3-2021 ₹ 105 crore (₹ 110 Crore loan obtained from bank) and the outstanding balance as on 31-3-2021 ₹ 90 crore after repayment.

Whether as per provision of the Companies Act, 2013 the company is required to appoint Internal Auditor during the year 2021-2022? ***(3 Marks)***

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(ii) State the provisions of the Companies Act, 2013 relating to appointment of First Auditor of a Government Company. ***(3 Marks)***

(c) Mr. Stefen owns a chicken firm near Gurgaon, where he breeds them and sells eggs and live chicken to retail shops in Gurgaon. Mr. Flemming also owns a similar firm near Gurgaon, doing the same business. Mr. Flemming had to go back to his native place in Australia for one year. He needed money for travel so he had pledged his firm to Mr. Stefen for one year and received a deposit of ₹ 25 lakhs and went away. At that point of time, stock of live birds were 100,000 and eggs 10,000. The condition was that when Flemming returns, he will repay the deposit and take possession of his firm with live birds and eggs.

After one year Flemming came back and returned the deposit. At that time there were 109,000 live birds (increase is due to hatching of eggs out of 10,000 eggs he had left), and 15,000 eggs.

Mr. Stefen agreed to return 100,000 live birds and 10,000 eggs only.

State the duties of Mr. Stefen as Pawnee and advise Mr. Flemming about his rights in the given case. ***(4 Marks)***

(d) Mr. Harsha donated ₹ 50,000 to an NGO by cheque for sponsoring the education of one child for one year. Later on he found that the NGO was a fraud and did not engage in philanthropic activities.

He gave a "stop payment" instruction to his bankers and the cheque was not honoured by the bank as per his instruction.

The NGO has sent a demand notice and threatened to file a case against Harsha. Advise Mr. Harsha about the course of action available under the Negotiable Instruments Act, 1881. ***(3 Marks)***

Answer

(a) (i) According to section 96 of the Companies Act, 2013, first annual general meeting of the company should be held within 9 months from the closing of the first financial year.

Hence, the statement that the first AGM of a company shall be held within a period of six months from the date of closing of the first financial year is **incorrect**.

(ii) According to proviso to section 96(1), the Registrar may, for any special reason, extend the time within which any annual general meeting, other than the first annual general meeting, shall be held, by a period not exceeding three months.

Thus, the Registrar cannot extend (for any reason) the time period within which the first AGM shall be held. Given statement is **incorrect.**

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(iii) According to section 96, subsequent AGM (i.e. second AGM onwards) of the company should be held within 6 months from the closing of the financial year.

Hence, the given statement is **correct.**

(iv) According to section 96, the gap between two annual general meetings should not exceed 15 months.

Hence, the given statement is **correct**, that there shall be a maximum interval of 15 months between two AGMs.

(b) (i) According to the Companies (Accounts) Rules, 2014, every unlisted public company having-

(A) paid up share capital of 50 crore rupees or more during the preceding financial year; or

(B) turnover of 200 crore rupees or more during the preceding financial year; or

(C) outstanding loans or borrowings from banks or public financial institutions exceeding 100 crore rupees or more at any point of time during the preceding financial year; or

(D) outstanding deposits of 25 crore rupees or more at any point of time during the preceding financial year;

shall be required to appoint an internal auditor which may be either an individual or a partnership firm or a body corporate.

In the given question, KSR Limited has outstanding loan from bank exceeding 100 crores rupees i.e., ₹ 105 crore on 3.3.2021 during the preceding financial year 2020-21. Hence, it is required to appoint Internal Auditor during the year 2021-22.

(ii) According to section 139(7) of the Companies Act, 2013-

(1) In the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government, or Governments, or partly by the Central Government and partly by one or more State Governments, the first auditor shall be appointed by the Comptroller and Auditor General of India (CAG) within 60 days from the date of registration of the company.

(2) In case the CAG does not appoint first auditor within the said period, the Board of Directors of the company shall appoint such auditor within the next 30 days.

(3) Further, in the case of failure of the Board to appoint such auditor within the next 30 days, it shall inform the members of the company who shall appoint such auditor within 60 days at an Extra ordinary General Meeting, who shall hold office till the conclusion of the first annual general meeting.

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(c) According to section 163 of the Indian Contract Act, 1872, in the absence of any contract to the contrary, the bailee is bound to deliver to the bailor, or according to his directions, any increase or profit which may have accrued from the goods bailed.

In the given question, when Mr. Flemming returned from Australia there were 1,09,000 live birds and 15,000 eggs (1,00,000 birds and 10,000 eggs were originally deposited by Mr. Flemming). Mr. Stefen agreed to return 1,00,000 live birds and 10,000 eggs only and not the increased number of live birds and eggs.

In the light of the provision of law and facts of the question, following are the answers:

Duties of Mr. Stefen: Mr. Stefen (pawnee) is bound to deliver to Mr. Flemming (pawnor), any increase or profit (9,000 live birds and 5,000 eggs) which has occurred from the goods bailed (i.e the live birds and eggs).

Right of Mr. Flemmimg: Mr. Flemming is entitled to recover from Pawnee any increase in goods so pledged .

(d) In the given instance, Mr. Harsha donated ₹ 50,000 to NGO by cheque for sponsoring child education for 1 year. On founding that NGO was fraud, Mr. Harsha instructed bankers for stop payment. In lieu of that, NGO sent a demand notice and threatened to file a case against him.

Section 138 of the Negotiable Instruments Act, 1881 deals with dishonor of cheque which is issued for the discharge, in whole or in part, of any debt or other liability. However, any cheque given as gift or donation, or as a security or in discharge of a mere moral obligation, would be considered outside the purview of section 138.

Here the cheque is given as a donation for the sponsoring child education for 1 year and is not legally enforceable debt or other liability on Mr. Harsha. Therefore, he is not liable for the donated amount which is not honoured by the bank to the NGO.

Question 3

(a) State Cricket Club was formed as a Limited Liability Company under Section 8 of the Companies Act, 2013 with the object of promoting cricket by arranging introductory cricket courses at district level and friendly matches. The club has been earning surplus. Of late, the affairs of the company are conducted fraudulently and dividend was paid to its members. Mr. Cool, a member decided make a complaint with Regulatory Authority to curb the fraudulent activities by cancelling the licence given to the company.

(i) Is there any provision under the Companies Act, 2013 to revoke the licence? If so, state the provisions.

(ii) Whether the Company may be wound up?

(iii) Whether the State Cricket Club can be merged with M/s. Cool Net Private Limited, a company engaged in the business of networking? ***(5 Marks)***

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(b) AB & Associates, a firm of Chartered Accountants was re-appointed as auditors at the Annual General Meeting of X Ltd. held on 30-09-2019. However, the Board of Directors recommended to remove them before expiry of their term by passing a resolution in the Board Meeting held on 31-03-2020. Subsequently, having given consideration to the Board recommendation, AB & Associates were removed at the general meeting held on 25-05-2020 by passing a special resolution subject to approval of the Central Government. Explaining the provisions for removal of second and subsequent auditors, examine the validity of removal of AB & Associates by X Ltd. under the provisions of the Companies Act, 2013. ***(5 Marks)***

(c) Examine the following cases with respect to their validity. State your answer with reasons.

(i) A bill of exchange is drawn, mentioning expressly as 'payable on demand'. The bill will be at maturity for payment on 04-01-2021, if presented on 01-01-2021.

(ii) A holder gives notice of dishonor of a bill to all the parties except the acceptor. The drawer claims that he is discharged from his liability as the holder fails to give notice of dishonour of the bill to all the parties thereto. ***(3 Marks)***

(d) Explain the impact of the two words "means" and "includes" in a definition, while interpreting such definition. ***(3 Marks)***

Answer

(a) (i) According to Section 8(6) of the Companies Act, 2013, the Central Government may by order revoke the licence of the company where the company contravenes any of the requirements or the conditions of section 8 subject to which a licence is issued or where the affairs of the company are conducted fraudulently, or in violation of the objects of the company or prejudicial to public interest, and on revocation, the Registrar shall put 'Limited' or 'Private Limited' against the company's name in the register. But before such revocation, the Central Government must give it a written notice of its intention to revoke the licence and opportunity to be heard in the matter.

Hence, in the instant case, the Central Government can revoke the license given to State Cricket Club as section 8 company, as the affairs of the company are conducted fraudulently and dividend was paid to its members which is in contravention to the conditions given under section 8.

(ii) Where a licence is revoked, the Central Government may, by order, if it is satisfied that it is essential in the public interest, direct that the company be wound up under this Act or amalgamated with another company registered under this section.

However, no such order shall be made unless the company is given a reasonable opportunity of being heard. [Section 8(7)] Hence, the stated company may be wound up.

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(iii) A company registered under this section shall amalgamate only with another company registered under this section and having similar objects. [Section 8(10)]

In the instant case, State Cricket Club cannot be merged with Cool Net Private Limited as the objects of both the companies are different and not similar.

(b) Section 140 of the Companies Act, 2013 prescribes procedure for removal of auditors. Under section 140 (1) the auditor appointed under section 139 may be removed from his office before the expiry of his term only by a special resolution of the company, after obtaining the previous approval of the Central Government in that behalf in the prescribed manner.

From this sub section it is clear that the approval of the Central Government shall be taken first and thereafter the special resolution of the company should be passed.

Provided that before taking any action under this sub-section, the auditor concerned shall be given a reasonable opportunity of being heard.

Therefore, in terms of section 140 (1) of the Companies Act, 2013 read with Rule 7 of the *Companies (Audit & Auditors) Rules, 2014*, the following steps should be taken for the removal of an auditor before the completion of his term:

The application to the Central Government for removal of auditor shall be made in Form ADT-2 and accompanied with fees as provided for this purpose under the *Companies (Registration Offices and Fees) Rules, 2014.*

The application shall be made to the Central Government within thirty days of the resolution passed by the Board.

The company shall hold the general meeting within sixty days of receipt of approval of the Central Government for passing the special resolution.

Hence, in the instant case, the decision of X Ltd. to remove AB & Associates, auditors of the company at the general meeting held on 25-5-2020 subject to approval of Central Government is not valid. The Approval of the Central Government shall be taken before passing the special resolution in the general meeting.

(c) **(i)** The bill of exchange is drawn, mentioning expressly as 'payable on demand'. The bill will be at maturity for payment on 04-1-2021, if presented on 01-01-2021: This statement is not valid as no days of grace are allowed in the case of bill payable on demand.

(ii) A holder gives notice of dishonor of a bill to all the parties except the acceptor. The drawer claims that he is discharged form his liability as the holder fails to give notice of dishonour of the bill to all the parties thereto:

As per section 93 of the Negotiable Instruments Act, 1881, notice of dishonor must be given by the holder to all parties other than the maker or the acceptor or the drawee whom the holder seeks to make liable. Accordingly, notice of dishonour to

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the acceptor of a bill is not necessary. Therefore, claim of drawer that he is discharged from his liability on account of holder's failure to give notice to all the parties thereto, is invalid.

(d) Impact of the words "Means" and "Includes" in the definitions- The definition of a word or expression in the definition section may either be restricting of its ordinary meaning or may be extensive of the same.

When a word is defined to '**mean'** such and such, the definition is 'prima facie' restrictive and exhaustive, we must restrict the meaning of the word to that given in the definition section.

But where the word is defined to **'include'** such and such, the definition is 'prima facie' extensive, here the word defined is not restricted to the meaning assigned to it but has extensive meaning which also includes the meaning assigned to it in the definition section.

Example:

Definition of Director [section 2(34) of the Companies Act, 2013]—Director means a director appointed to the board of a company. The word "means" suggests exhaustive definition.

Definition of Whole time director [Section 2(94) of the Companies Act, 2013]—Whole time director includes a director in the whole time employment of the company. The word "includes" suggests extensive definition. Other directors may be included in the category of the whole time director.

Question 4

(a) (i) "The offer of buy-back of its own shares by a company shall not be made within a period of six months from the date of the closure of the preceding offer of buy-back, if any and cooling period to make further issue of same kind of shares including allotment of further shares shall be a period of one year from the completion of buy back subject to certain exceptions." Examine the validity of this statement by explaining the provisions of the Companies Act, 2013 in this regard. ***(3 Marks)***

(ii) ABC Limited proposes to issue series of debentures frequently within a period of one year to raise the funds without undergoing the complicated exercise of issuing the prospectus every time of issuing a new series of debentures. Examine the feasibility of the proposal of ABC Limited having taken into account the concept of deemed prospectus dealt with under the provisions of the Companies Act, 2013.

(3 Marks)

(b) The Promoters of Jayshree Spinning Mills Limited contributed in the shape of unsecured loan to the company in fulfilment of the margin money requirements stipulated by State Industries Development Corporation Ltd. (SIDCL) for granting loan. In the light of the

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provisions of the Companies Act, 2013 and Rules made thereunder whether the unsecured loan will be regarded as Deposit or not. What will be your answer in case the entire loan obtained from SIDCL is repaid? ***(4 Marks)***

(c) Examine the validity of the following statements with reference to the General Clauses Act, 1897:

(i) Insurance Policies covering immovable property have been held to be immovable property.

(ii) The word "bullocks" could be interpreted to include "cows". ***(4 Marks)***

(d) Whether Foreign decisions can be used for construing Indian Statute? Explain. ***(3 Marks)***

Answer

(a) (i) According to proviso to section 68(2) of the Companies Act, 2013, no offer of buy-back, shall be made within a period of one year from the date of the closure of the preceding offer of buy-back, if any.

Section 68 (8) casts an obligation that where a company completes a buy-back of its shares or other specified securities under this section, it shall not make further issue of same kind of shares including allotment of further shares under section 62 (1) (a) or other specified securities within a period of six months except by way of bonus issue or in the discharge of subsisting obligations such as conversion of warrants, stock option schemes, sweat equity or conversion of preference shares or debentures into equity shares.

Keeping in view of the above provisions, the statement "the offer of buy-back of its own shares by a company shall not be made within a period of six months from the date of the closure of the preceding offer of buy back, if any and cooling period to make further issue of same kind of shares including allotment of further shares shall be a period of one year from the completion of buy back subject to certain exceptions" is not valid.

(ii) Information Memorandum together with Shelf Prospectus is deemed Prospectus. The expression "shelf prospectus" means a prospectus in respect of which the securities or class of securities included therein are issued for subscription in one or more issues over a certain period without the issue of a further prospectus. [Explanation to Section 31]

Any class or classes of companies, as the Securities and Exchange Board may provide by regulations in this behalf, may file a shelf prospectus with the Registrar at the stage-

(i) of the first offer of securities included therein which shall indicate a period not exceeding one year as the period of validity of such prospectus which shall commence from the date of opening of the first offer of securities under that prospectus, and

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(ii) in respect of a second or subsequent offer of such securities issued during the period of validity of that prospectus,

No further prospectus is required for issue of securities. [Sub-section (1)]

Hence, the proposal of ABC Limited to take into account the concept of deemed prospectus is correct.

(b) According to Rule 2 (1) (c) of the *Companies (Acceptance of Deposits) Rules, 2014*, the following amount is not considered as deposit:

Any amount brought in by the promoters of the company by way of unsecured loan in pursuance of the stipulation of any lending financial institution or a bank subject to the fulfillment of following conditions:

(a) the loan is brought because of the stipulation imposed by the lending institutions on the promoters to contribute such finance;

(b) the loan is provided by the promoters themselves or by their relatives or by both; and

(c) such exemption shall be available only till the loans of financial institution or bank are repaid and not thereafter.

Hence, in the instant case, the unsecured loan contributed by promoters of Jayshree Spinning Mills Limited will not be regarded as deposit as the unsecured loan is brought because of the stipulation imposed by the SIDCL and the loan is provided by the promoters themselves.

In case the entire loan obtained from SIDCL is repaid, then the unsecured loan provided by promoters of Jayshree Spinning Mills Limited will be regarded as deposit.

(c) (i) Insurance Policies covering immovable property have been held to be immovable property: This statement is not valid.

Insurance policy is a written document containing an agreement between the insurer and insured. It includes a matter intended to be used or may be used for the purpose or recording of the matter. Hence, the insurance policies covering immovable property is not covered under the definition of immovable property.

(ii) The word 'bullocks' could be interpreted to include 'cows': This statement is not valid. Where a word connoting a common gender is available but the word used conveys a specific gender, there is a presumption that the provisions of General Clauses Act, 1897 do not apply. Thus, the word 'bullocks' could not be interpreted to include 'cows'.

(d) Use of Foreign Decisions: Foreign decisions of countries following the same system of jurisprudence as ours and given on laws similar to ours can be legitimately used for construing our own Acts. However, prime importance is always to be given to the

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language of the Indian statute. Further, where guidance can be obtained from Indian decisions, reference to foreign decisions may become unnecessary.

Question 5

(a) Examine the validity of the following different decisions/proposals regarding change of office by A Ltd. under the provisions of the Companies Act, 2013:

(i) The Registered office is shifted from Thane (Local Limit of Thane District) to Dadar (Local limit of Mumbai District), both places falling within the jurisdiction of the Registrar of Mumbai, by passing a special resolution but without obtaining the approval of the Regional Director.

(ii) The Registered office is situated in Mumbai, Maharashtra (within the jurisdiction of the Registrar, Mumbai, Maharashtra State) whereas the Corporate Office is situated in Pune, Maharashtra State (within the jurisdiction of the Registrar, Pune). A Ltd. proposes to shift its corporate office from· Pune to Mumbai under the authority of a Board· resolution.

(iii) The registered office situated in certain place of a city is proposed to be shifted to another place within the local limits of the same city under the authority of Board Resolution. ***(5 Marks)***

(b) Johnson Limited goes for Public issue of its shares. The issue was over subscribed. A default was committed with respect to allotment of shares by the officers of the company. There were no Managing Director, Whole time Director or any other officer/person designated by the Board with the responsibility of Complying with the provisions of the Act.

State, who are the persons considered as officers in default under the Companies Act, 2013.

Examine who will be considered in default in the instant case? ***(5 Marks)***

OR

Mr. Laurel, a shareholder in Hardly Limited, a listed company, desires to inspect the minutes book of General Meetings and to have copy of some resolutions. In the light of the provisions of the Companies Act, 2013 answer the following:

(i) Whether he can inspect the minutes book and to have copies of the minutes at free of cost?

(ii) Whether he can authorize his friend to inspect the minutes book on behalf of him by signing a power of authority?

(c) A rented his house to B on lease for 3 years. The lease agreement is terminable on 3 month notice by either party. C, the son of A, being in need of a separate house to live, served a notice on B, without any authority, to vacate the house within a month and

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requested his father A to ratify his action. Examine whether it shall be valid for A to ratify the action of C taking into account the provisions of the Indian Contract Act, 1872?

(4 Marks)

(d) *Ajit was supposed to submit an appeal to High Court of Kolkata on 30th March, 2020, which was the last day on which such appeal could be submitted. Unfortunately, on that day High Court was closed due to total Lockdown all over India due to Covid-19 pandemic. Examine the remedy available to Ajit under the provisions of the General Clauses Act, 1897.* ***(3 Marks)***

Answer

(a) Regarding the validity of Proposals w.r.t change of registered office by A Ltd. in the light of the section 12 of the Companies Act, 2013:

(i) In the first case, where the Registered office is shifted from Thane to Dadar (one District to another District) falling under jurisdiction of same ROC i.e. Registrar of Mumbai.

As per Section 12 (5) of the Act which deals with the change in registered office outside the local limit from one town or city to another in the same state, may take place by virtue of a special resolution passed by the company. No approval of regional director is required. Accordingly, said proposal is valid.

(ii) Section 12 talks about shifting of Registered office only, In the second case the corporate office is being shifted from Pune to Mumbai under the authority of Board resolution. Shifting of corporate office under the board resolution is valid.

[Note: It may be assumed that corporate office and registered office are same. Then in this case, registered office situated in Mumbai is changed from Mumbai to Pune falling the jurisdiction of different of ROC's in the same State.

In line section 12 (5) of the Act, where a company changes the place of its registered office from the jurisdiction of one Registrar to the jurisdiction of another Registrar within the same State, there such change is to be confirmed by the Regional Director on an application made by the company. Accordingly, the said proposal may be treated as invalid, due to lack of confirmation by Regional director of such change.]

(iii) In the third case, change of registered office within the local limits of the same city.

Said proposal is valid in terms it has been passed under the authority of Board resolution.

(b) As per section 39 of the Companies Act, 2013, which deals with the allotment of securities, states that in case of any default related to minimum subscription and of return of allotment money under sub-section (3) and (4), the company and its officer who

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is in default shall be liable to a penalty, for each default, of one thousand rupees for each day during which such default continues or one lakh rupees, whichever is less.

As per section 2(60) of the Act, Officer who is in default, has been described as:

For the purpose of any provision in this Act which enacts that an officer of the company who is in default shall be liable to any penalty or punishment by way of imprisonment, fine or otherwise, means any of the following officers of a company, namely:—

(i) whole-time director (WTD);

(ii) key managerial personnel (KMP);

(iii) where there is no key managerial personnel, such director or directors as specified by the Board, or all the directors, if no director is so specified;

(iv) any person who, under the immediate authority of the Board or any key managerial personnel, is charged with any responsibility.

(v) any person in accordance with whose advice, directions or instructions the Board of Directors of the company is accustomed to act,

(vi) every director, in respect of a contravention of any of the provisions of this Act,

(vii) in respect of the issue or transfer of any shares of a company, the share transfer agents, registrars and merchant bankers to the issue or transfer;

In the given case, as stated Johnson Limited, committed a default with respect to the allotment of shares by the officers. As in company there were no managing director, whole time director, or any other officer/person designated by the Board with the responsibility of complying with the provisions of the Act. Therefore, in such situation, all the directors of the company may be treated as officers in default.

OR

As per section 119 of the Companies Act, 2013, the books containing the minutes of the proceedings of any general meeting of a company shall be open for inspection, during business hours, by any member, without charge, subject to such reasonable restrictions as specified in the articles of the company or as imposed in the general meeting.

Any member shall be entitled to be furnished, within seven working days after he has made a request in that behalf to the company, and on payment of such fees as may be prescribed, with a copy of any minutes .

Accordingly, following are the answers:

(i) As in given case, Mr. Laurel, in requirement with law, he can inspect the minutes book and so to have soft copies of the same up to last three years.

(ii) As provision does not specify anything on authorizing any one else to inspect the minutes book. Therefore, Mr. Laurel cannot authorize his friend to inspect the

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minutes book on behalf of him

(c) As per section 200 of the Indian contract Act, 1872, an act done by one person on behalf of another, without such other person's authority, which, if done with authority, would have the effect of subjecting a third person to damages, or of terminating any right or interest of a third person, cannot, by ratification, be made to have such effect.

In the given instance, A rented his house to B on lease for 3 years. The lease agreement was terminable on three months' notice. C, son of A, gives notice of termination to B, without any authority, to vacate the house within a month. Also requested A to ratify his action.

Here by the act of C, the interest of B is affected, therefore the principle of ratification does not apply. Hence, it's not valid for A to ratify the action of C, thereby causing the notice to be binding on B.

(d) The given answer is based on section 10 which deals with "Computation of time" under the General Clauses Act, 1897. Where by any legislation or regulation, any act or proceeding is directed or allowed to be done or taken in any court or office on a certain day or within a prescribed period then, if the Court or office is closed on that day or last day of the prescribed period, the act or proceeding shall be considered as done or taken in due time if it is done or taken on the next day afterwards on which the Court or office is open.

In the question, Ajit was supposed to submit an appeal to High Court on 30th March 2020, which was the last day of filing the same. On that day High Court was closed due to total lockdown all over India.

In line with said provision, Ajit can submit an appeal on the day on which the High Court is open.

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PAPER – 3: COST AND MANAGEMENT ACCOUNTING

*Question No. **1** is compulsory.*

*Attempt any **four** questions out of the remaining **five** questions.*

In case, any candidate answers extra question(s)/ sub-question(s) over and above the required number, then only the requisite number of questions first answered in the answer book shall be valued and subsequent extra question(s) answered shall be ignored.

Working notes should form part of the answer

Question 1

Answer the following:

(a) MM Ltd. has provided the following information about the items in its inventory.

Item Code Number	*Units*	*Unit Cost (₹)*
101	*25*	*50*
102	*300*	*01*
103	*50*	*80*
104	*75*	*08*
105	*225*	*02*
106	*75*	*12*

MM Ltd. has adopted the policy of classifying the items constituting 15% or above of Total Inventory Cost as 'A' category, items constituting 6% or less of Total Inventory Cost as 'C' category and the remaining items as 'B' category.

You are required to:

(i) Rank the items on the basis of % of Total Inventory Cost.

(ii) Classify the items into A, B and C categories as per ABC Analysis of Inventory Control adopted by MM Ltd.

(b) SNS Trading Company has three Main Departments and two Service Departments. The data for each department is given below:

Departments / *Main Department:*	*Expenses (in ₹)*	*Area in (Sq. Mtr)*	*Number of Employees*
Purchase Department	*5,00,000*	*12*	*800*
Packing Department	*8,00,000*	*15*	*1700*
Distribution Department	*3,50,000*	*7*	*700*

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Service Departments:			
Maintenance Department	*6,40,000*	*4*	*200*
Personnel Department	*3,20,000*	*6*	*250*

The cost of Maintenance Department and Personnel Department is distributed on the basis of 'Area in Square Metres' and 'Number of Employees' respectively.

You are required to:

(i) Prepare a Statement showing the distribution of expenses of Service Departments to the Main Departments using the "Step Ladder method" of Overhead Distribution.

(ii) Compute the Rate per hour of each Main Department, given that, the Purchase Department, Packing Department and Distribution Department works for 12 hours a day, 24 hours a day and 8 hours a day respectively. Assume that there are 365 days in a year and there are no holidays.

(c) AUX Ltd. has an Annual demand from a single customer for 60,000 Covid-19 vaccines. The customer prefers to order in the lot of 15,000 vaccines per order. The production cost of vaccine is ₹5,000 per vaccine. The set-up cost per production run of Covid-19 vaccines is ₹4,800. The carrying cost is ₹12 per vaccine per month.

You are required to:

(i) Find the most Economical Production Run.

(ii) Calculate the extra cost that company incurs due to production of 15,000 vaccines in a batch.

(d) LR Ltd. is considering two alternative methods to manufacture a new product it intends to market. The two methods have a maximum output of 50,000 units each and produce identical items with a selling price of ₹25 each. The costs are:

	Method-1 Semi-Automatic (₹)	*Method-2 Fully-Automatic (₹)*
Variable cost per unit	*15*	*10*
Fixed costs	*1,00,000*	*3,00,000*

You are required to calculate:

(1) Cost Indifference Point in units. Interpret your results.

(2) The Break-even Point of each method in terms of units. ***(4 x 5 = 20 Marks)***

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Answer

(a) (i) Statement of Total Inventory Cost and Ranking of items

Item code no.	Units	% of Total units	Unit cost (₹)	Total Inventory cost (₹)	% of Total Inventory cost	Ranking
101	25	3.33	50	1,250	16.67	**2**
102	300	40.00	1	300	4.00	**6**
103	50	6.67	80	4,000	53.33	**1**
104	75	10.00	8	600	8.00	**4**
105	225	30.00	2	450	6.00	**5**
106	75	10.00	12	900	12.00	**3**
	750	100	153	7,500	100	

(ii) Classifying items as per ABC Analysis of Inventory Control

Basis for ABC Classification as % of Total Inventory Cost

15% & above -- 'A' items

7% to 14% -- 'B' items

6% & Less -- 'C' items

Ranking	Item code No.	% of Total units	Total Inventory cost (₹)	% of Total Inventory Cost	Category
1	103	6.67	4,000	53.33	
2	101	3.33	1,250	16.67	
Total	2	10.00	5,250	70.00	A
3	106	10.00	900	12.00	
4	104	10.00	600	8.00	
Total	2	20.00	1,500	20.00	B
5	105	30.00	450	6.00	
6	102	40.00	300	4.00	
Total	2	70.00	750	10.00	C
Grand Total	6	100	7,500	100	

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(b) (i) Schedule Showing the Distribution of Expenses of Service Departments using Step ladder method.

	Main Department			Service Department	
	Purchase (₹)	**Packing (₹)**	**Distribution (₹)**	**Maintenance (₹)**	**Personnel (₹)**
Expenses	5,00,000	8,00,000	3,50,000	6,40,000	3,20,000
Distribution of Maintenance Department (12:15:7:-:6)	1,92,000	2,40,000	1,12,000	(6,40,000)	96,000
Distribution of Personnel Department (800:1700:700:-:-)	1,04,000	2,21,000	91,000	-	(4,16,000)
Total	7,96,000	12,61,000	5,53,000	**-**	**-**

(ii) Calculation of Expenses rate per hour of Main Department

	Purchase	**Packing**	**Distribution**
Total apportioned expenses (₹)	7,96,000	12,61,000	5,53,000
Total Hours worked	4,380 (12 x 365)	8,760 (24 x 365)	2,920 (8 x 365)
Expenses rate per hour (₹)	**181.74**	**143.95**	**189.38**

(c) (i) Calculation of most Economical Production Run

$$= \sqrt{\frac{2 \times 60,000 \times ₹\ 4,800}{12 \times 12}} = 2,000 \text{ Vaccine}$$

(ii) Calculation of Extra Cost due to processing of 15,000 vaccines in a batch

	When run size is 2,000 vaccines	**When run size is 15,000 vaccines**
Total set up cost	$= \frac{60,000}{2,000} \times ₹\ 4,800$ = ₹ 1,44,000	$= \frac{60,000}{15,000} \times ₹\ 4,800$ = ₹ 19,200
Total Carrying cost	½ × 2,000 × ₹ 144 = ₹ 1,44,000	½ × 15,000 × ₹ 144 = ₹ 10,80,000
Total Cost	₹ 2,88,000	₹ 10,99,200

Thus, extra cost = ₹ 10,99,200 – ₹ 2,88,000 = ₹ **8,11,200**

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(d) (i) Cost Indifference Point

	Method-1 and Method-2 (₹)
Differential Fixed Cost (I)	₹ 2,00,000 (₹ 3,00,000 – ₹ 1,00,000)
Differential Variable Costs (II)	₹ 5 (₹ 15 – ₹ 10)
Cost Indifference Point (I/II) (Differential Fixed Cost / Differential Variable Costs *per unit*)	**40,000**

Interpretation of Results

At activity level below the indifference points, the alternative **with lower fixed costs and higher variable costs should be used.** At activity level above the indifference point, alternative with **higher fixed costs and lower variable costs should be used.**

No. of Product	Alternative to be Chosen
Product ≤ 40,000 units	Method-1, Semi-Automatic
Product ≥ 40,000 units	Method-2, Automatic

(ii) Break Even point (in units)

	Method-1	Method-2
BEP (in units) = $\frac{\text{Fixed cost}}{\text{Contribution per unit}}$	$\frac{1,00,000}{(25-15)}$ = 10,000	$\frac{3,00,000}{(25-10)}$ = 20,000

Question 2

(a) The following data relates to manufacturing of a standard product during the month of March, 2021:

Particulars	*Amount (in ₹)*
Stock of Raw material as on 01-03-2021	*80,000*
Work in Progress as on 01-03-2021	*50,000*
Purchase of Raw material	*2,00,000*
Carriage Inwards	*20,000*
Direct Wages	*1,20,000*
Cost of special drawing	*30,000*

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Hire charges paid for Plant	*24,000*
Return of Raw Material	*40,000*
Carriage on return	*6,000*
Expenses for participation in Industrial exhibition	*8,000*
Legal charges	*2,500*
Salary to office staff	*25,000*
Maintenance of office building	*2,000*
Depreciation on Delivery van	*6,000*
Warehousing charges	*1,500*
Stock of Raw material as on 31-03-2021	*30,000*
Stock of Work in Progress as on 31-03-2021	*24,000*

- *Store overheads on materials are 10% of material consumed.*
- *Factory overheads are 20% of the Prime cost.*
- *10% of the output was rejected and a sum of ₹5,000 was realized on sale of scrap.*
- *10% of the finished product was found to be defective and the defective products were rectified at an additional expenditure which is equivalent to 20% of proportionate direct wages.*
- *The total output was 8000 units during the month.*

You are required to prepare a Cost Sheet for the above period showing the:

(i) Cost of Raw Material consumed.

(ii) Prime Cost

(iii) Work Cost

(iv) Cost of Production

(v) Cost of Sales ***(10 Marks)***

(b) OPR Ltd. purchases crude vegetable oil. It does refining of the same. The refining process results in four products at the spilt-off point - S, P, N and A. Product 'A' is fully processed at the split-off point. Product S, P and N can be individually further refined into SK, PM, and NL respectively. The joint cost of purchasing the crude vegetable oil and processing it were ₹40,000. Other details are as follows:

Product	*Further processing costs (₹)*	*Sales at split-off point (₹)*	*Sales after further processing (₹)*
S	*80,000*	*20,000*	*1,20,000*

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P	*32,000*	*12,000*	*40,000*
N	*36,000*	*28,000*	*48,000*
A	*-*	*20,000*	*-*

You are required to identify the products which can be further processed for maximizing profits and make suitable suggestions. ***(5 Marks)***

(c) Following information is given of a newly setup organization for the year ended on 31st March, 2021.

Number of workers replaced during the period	*50*
Number of workers left and discharged during the period	*25*
Average number of workers on the roll during the period	*500*

You are required to:

(i) Compute the Employee Turnover Rates using Separation Method and Flux Method.

(ii) Equivalent Employee Turnover Rates for (i) above, given that the organization was setup on 31st January, 2021. ***(5 Marks)***

Answer

(a) Statement of Cost for the month of March, 2021

Particulars		Amount (₹)	Amount (₹)
(i)	**Cost of Material Consumed:**		
	Raw materials purchased (₹ 2,00,000 – ₹ 40,000)	1,60,000	
	Carriage inwards	20,000	
	Add: Opening stock of raw materials	80,000	
	Less: Closing stock of raw materials	(30,000)	**2,30,000**
	Direct Wages		1,20,000
	Direct expenses:		
	Cost of special drawing	30,000	
	Hire charges paid for Plant	24,000	54,000
(ii)	**Prime Cost**		**4,04,000**
	Carriage on return	6,000	
	Store overheads (10% of material consumed)	23,000	
	Factory overheads (20% of Prime cost)	80,800	

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	Additional expenditure for rectification of defective products (refer working note)	2,160	1,11,960
	Gross factory cost		5,15,960
	Add: Opening value of W-I-P		50,000
	Less: Closing value of W-I-P		(24,000)
(iii)	**Works/ Factory Cost**		**5,41,960**
	Less: Realisable value on sale of scrap		(5,000)
(iv)	**Cost of Production**		**5,36,960**
	Add: Opening stock of finished goods		-
	Less: Closing stock of finished goods		-
	Cost of Goods Sold		**5,36,960**
	Administrative overheads:		
	Maintenance of office building	2,000	
	Salary paid to Office staff	25,000	
	Legal Charges	2,500	29,500
	Selling overheads:		
	Expenses for participation in Industrial exhibition	8,000	8,000
	Distribution overheads:		
	Depreciation on delivery van	6,000	
	Warehousing charges	1,500	7,500
(v)	**Cost of Sales**		**5,81,960**

Alternative Solution
(considering Hire charges paid for Plant as indirect expenses)

Statement of Cost for the month of March, 2021

Particulars	Amount (₹)	Amount (₹)
Cost of Material Consumed:		
Raw materials purchased (₹ 2,00,000 – ₹ 40,000)	1,60,000	
Carriage inwards	20,000	
Add: Opening stock of raw materials	80,000	
Less: Closing stock of raw materials	(30,000)	**2,30,000**
Direct Wages		1,20,000

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Direct expenses:		
Cost of special drawing	30,000	30,000
Prime Cost		**3,80,000**
Hire charges paid for Plant	24,000	
Carriage on return	6,000	
Store overheads (10% of material consumed)	23,000	
Factory overheads (20% of Prime cost)	76,000	
Additional expenditure for rectification of defective products (refer working note)	2,160	1,31,160
Gross factory cost		**5,11,160**
Add: Opening value of W-I-P		50,000
Less: Closing value of W-I-P		(24,000)
Works/ Factory Cost		**5,37,160**
Less: Realisable value on sale of scrap		(5,000)
Cost of Production		**5,32,160**
Add: Opening stock of finished goods		-
Less: Closing stock of finished goods		-
Cost of Goods Sold		**5,32,160**
Administrative overheads:		
Maintenance of office building	2,000	
Salary paid to Office staff	25,000	
Legal Charges	2,500	29,500
Selling overheads:		
Expenses for participation in Industrial exhibition	8,000	8,000
Distribution overheads:		
Depreciation on delivery van	6,000	
Warehousing charges	1,500	7,500
Cost of Sales		**5,77,160**

Working Notes:

1. Number of Rectified units

Total Output 8,000 units

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Less: Rejected 10%	800 units
Finished product	7,200 units
Rectified units (10% of finished product)	**720 units**

2. Proportionate additional expenditure on 720 units

= 20% of proportionate direct wages

= 0.20 x (₹ 1,20,000/8,000) x 720

= ₹ 2,160

(b) Statement of Comparison of Profits before and after further processing

		S (₹)	P (₹)	N (₹)	A (₹)	Total (₹)
A.	Sales at split off point	20,000	12,000	28,000	20,000	80,000
B.	Apportioned Joint Costs (Refer Working Note)	**10,000**	**6,000**	**14,000**	**10,000**	40,000
C.	**Profit at split-off point**	10,000	6,000	14,000	10,000	40,000
D.	Sales after further processing	1,20,000	40,000	48,000	-	2,08,000
E.	Further processing cost	80,000	32,000	36,000	-	1,48,000
F.	Apportioned Joint Costs (Refer Working Note)	10,000	6,000	14,000	-	-
G.	**Profit if further processing (D – E + F)**	**30000**	**2,000**	**(-) 2,000**	-	-
H.	Increase/ decrease in profit after further processing (G-C)	20,000	- 4000	- 16,000	-	-

Suggested Product to be further processed for maximising profits:

On comparing the figures of "Profit if no further processing" and "Profits if further processing", one observes that OPR Ltd. is earning more after further processing of Product S only i.e. ₹ 20,000. Hence, for maximizing profits, only Product S should be further processed and Product P, N and A should be sold at split-off point.

Working Note:

Apportionment of joint costs on the basis of Sales Value at split-off point

$$\text{Apportioned joint cost} = \frac{\text{Total joint cost}}{\text{Total Sales value at split-off point}} \times \text{Sales value of each product}$$

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Where,

Total Joint cost = ₹ 40,000

Total sales at split off point (S, P, N and A) = 20,000 + 12,000 + 28,000 + 20,000 = ₹ 80,000

Share of S in joint cost = $\frac{₹\,40,000}{₹\,80,000}$ x ₹ 20,000 = ₹ 10,000

Share of P in joint cost = $\frac{₹\,40,000}{₹\,80,000}$ x ₹ 12,000 = ₹ 6,000

Share of N in joint cost = $\frac{₹\,40,000}{₹\,80,000}$ x ₹ 28,000 = ₹ 14,000

Share of A in joint cost = $\frac{₹\,40,000}{₹\,80,000}$ x ₹ 20,000 = ₹ 10,000

Alternative Solution

Decision for further processing of Product S, P and N

Products	**S (₹)**	**P (₹)**	**N (₹)**
Sales revenue after further processing	1,20,000	40,000	48,000
Less: sales value at split-off point	20,000	12,000	28,000
Incremental Sales Revenue	**1,00,000**	**28,000**	**20,000**
Less: Further Processing cost	80,000	32,000	36,000
Profit/ loss arising due to further processing	**20,000**	**(-)4,000**	**(-)16,000**

Suggested Product to be further processed for maximising profits:

On comparing the figures of "Profit if no further processing" and "Profits if further processing", one observes that OPR Ltd. is earning more after further processing of Product S only i.e. ₹ 20,000. Hence, for maximizing profits, only Product S should be further processed and Product P, N and A should be sold at split-off point.

(c) (i) Employee Turnover rate

Using Separation method:

$$= \frac{\text{Number of employees Separated during the period}}{\text{Average number of employees during the period on roll}} \times 100$$

$$= \frac{25}{500} \times 100 = \mathbf{5\%}$$

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Using Flux method:

$$= \frac{\text{Number of employees Separated} + \text{Number of employees Replaced during the period}}{\text{Average number of employees during the period on roll}} \times 100$$

$$= \frac{50+25}{500} \times 100 = \textbf{15\%}$$

(ii) Equivalent Employee Turnover rate:

$$= \frac{\text{Employee Turnover rate for the period}}{\text{Number of days in the period}} \times 365$$

Using Separation method $= \frac{5}{60} \times 365$ = 30.42%

Or, $= \frac{5}{60} \times 360$ = 30%

Or, $= \frac{5}{2} \times 12$ = 30%

Using Flux method $= \frac{15}{60} \times 365$ = 91.25%

Or, $= \frac{15}{60} \times 360$ = 90%

Or, $= \frac{15}{2} \times 12$ = 90%

Question 3

(a) The Profit and Loss account of ABC Ltd. for the year ended 31st March, 2021 is given below:

Profit and Loss account

(for the year ended 31st March, 2021)

To Direct Material	*6,50,000*	*By Sales (15000 units)*	*15,00,000*
To Direct Wages	*3,50,000*	*By Dividend received*	*9,000*
To Factory overheads	*2,60,000*		
To Administrative overheads	*1,05,000*		
To Selling overheads	*85,000*		
To Loss on sale of investments	*2,000*		
To Net Profit	*57,000*		
	15,09,000		*15,09,000*

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- *Factory overheads are 50% fixed and 50% variable.*
- *Administrative overheads are 100% fixed.*
- *Selling overheads are completely variable.*
- *Normal production capacity of ABC Ltd. is 20,000 units.*
- *Indirect Expenses are absorbed in the cost accounts on the basis of normal production capacity.*
- *Notional rent of own premises charged in Cost Accounts is amounting to ₹12,000.*

You are required to:

(i) Prepare a Cost Sheet and ascertain the Profit as per Cost Records for the year ended 31st March, 2021.

(ii) Reconcile the Profit as per Financial Records with Profit as per Cost Records.

(10 Marks)

(b) PQR Ltd. is engaged in the production of three products P, Q and R. The company calculates Activity Cost Rates on the basis of Cost Driver capacity which is provided as below:

Activity	*Cost Driver*	*Cost Driver Capacity*	*Cost (₹)*
Direct Labour hours	*Labour hours*	*30,000 Labour hours*	*3,00,000*
Production runs	*No. of Production runs*	*600 Production runs*	*1,80,000*
Quality Inspections	*No. of Inspection*	*8000 Inspections*	*2,40,000*

The consumption of activities during the period is as under:

Activity / Products	*P*	*Q*	*R*
Direct Labour hours	*10,000*	*8,000*	*6,000*
Production runs	*200*	*180*	*160*
Quality Inspection	*3,000*	*2,500*	*1,500*

You are required to:

(i) Compute the costs allocated to each Product from each Activity.

(ii) Calculate the cost of unused capacity for each Activity.

(iii) A potential customer has approached the company for supply of 12,000 units of a new product. 'S' to be delivered in lots of 1500 units per quarter. This will involve an initial design cost of ₹30,000 and per quarter production will involve the following:

Direct Material	*₹18,000*
Direct Labour hours	*1,500 hours*

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No. of Production runs	*15*
No. of Quality Inspection	*250*

Prepare cost sheet segregating Direct and Indirect costs and compute the Sales value per quarter of product 'S' using ABC system considering a markup of 20% on cost.

(10 Marks)

Answer

(a) (i) Cost Sheet

(for the year ended 31st March, 2021)

	(₹)	(₹)
Direct material		6,50,000
Direct wages		3,50,000
Prime cost		**10,00,000**
Factory Overheads:		
Variable (50% of ₹ 2,60,000)	1,30,000	
Fixed (₹ 1,30,000 × 15,000/20,000)	97,500	2,27,500
Works cost		**12,27,500**
Administrative Overheads (₹ 1,05,000 × 15,000/20,000)		78,750
Notional Rent		12,000
Cost of production		**13,18,250**
Selling Overheads		85,000
Cost of Sales		**14,03,250**
Profit (Balancing figure)		96,750
Sales revenue		**15,00,000**

(ii) Statement of Reconciliation

(Reconciling profit shown by Financial and Cost Accounts)

	(₹)	(₹)
Profit as per Cost Account		96,750
Add: Dividend received	9,000	
Add: Notional Rent	12,000	21,000
Less: Factory Overheads under-charged in Cost Accounts (₹ 2,60,000 – ₹ 2,27,500)	32,500	

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Less: Administrative expenses under-charged in Cost Accounts (₹ 1,05,000 – ₹ 78,750)	26,250	
Less: Loss on sale of Investments	2,000	(60,750)
Profit as per Financial Accounts		**57,000**

(Note: Solution can be done considering base profit as per Financial Accounts)

(b) (i) Statement of cost allocation to each product from each activity

	Product			
	P (₹)	**Q (₹)**	**R (₹)**	**Total (₹)**
Direct Labour hours (Refer to working note)	1,00,000 (10,000 Labour hours × ₹10)	80,000 (8,000 Labour hours × ₹10)	60,000 (6,000 Labour hours × ₹10)	2,40,000
Production runs (Refer to working note)	60,000 (200 Production runs × ₹ 300)	54,000 (180 Production runs × ₹ 300)	48,000 (160 Production runs × ₹ 300)	1,62,000
Quality Inspections (Refer to working note)	90,000 (3,000 Inspections × ₹30)	75,000 (2,500 Inspections × ₹ 30)	45,000 (1,500 Inspections × ₹ 30)	2,10,000

Working note:

Rate per unit of cost driver

Direct Labour hours	(₹ 3,00,000/30,000 Labour hours)	₹ 10 per Labour hour
Production runs	(₹ 1,80,000/600 Production runs)	₹ 300 per Production run
Quality Inspection	(₹ 2,40,000/8,000 Inspections)	₹ 30 per Inspection

(ii) Computation of cost of unused capacity for each activity

Particulars	**(₹)**
Direct Labour hours [(₹ 3,00,000 – ₹ 2,40,000) or (6,000 x ₹ 10)]	60,000
Production runs [(₹ 1,80,000 – ₹ 1,62,000) or (60 x ₹ 300)]	18,000
Quality Inspection [(₹ 2,40,000 – ₹ 2,10,000) or (1,000 x ₹ 30)]	30,000
Total cost of unused capacity	**1,08,000**

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(iii) Cost sheet and Computation of Sales value per quarter of product 'S' using ABC system

Particulars	**(₹)**
1500 units of product 'S' to be delivered per quarter	
Initial design cost per quarter (₹ 30,000 / 8 quarters)	3,750
Direct Material Cost	18,000
Direct Labour Cost (1,500 Labour hours x ₹ 10)	15,000
Direct Costs (A)	**36,750**
Set up Cost (15 Production runs × ₹ 300)	4,500
Inspection Cost (250 Inspections × ₹ 30)	7,500
Indirect Costs (B)	**12,000**
Total Cost (A + B)	48,750
Add: Mark-up (20% on cost)	**9,750**
Sale Value	**58,500**
Selling Price per unit 'S' (₹ 58,500/1500 units)	**39**

Question 4

(a) A Manufacturing unit manufactures a product 'XYZ' which passes through three distinct Processes - X, Y and Z. The following data is given:

	Process X	*Process Y*	*Process Z*
Material consumed (in ₹)	*2,600*	*2,250*	*2,000*
Direct wages (in ₹)	*4,000*	*3,500*	*3,000*

- *The total Production Overhead of ₹ 15,750 was recovered @ 150% of Direct wages.*
- *15,000 units at ₹ 2 each were introduced to Process 'X'.*
- *The output of each process passes to the next process and finally, 12,000 units were transferred to Finished Stock Account from Process 'Z'.*
- *No stock of materials or work in progress was left at the end.*

The following additional information is given:

Process	*% of wastage to normal input*	*Value of Scrap per unit (₹)*
X	*6%*	*1.10*
Y	*?*	*2.00*
Z	*5%*	*1.00*

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You are required to:

(i) Find out the percentage of wastage in process 'Y', given that the output of Process 'Y' is transferred to Process 'Z' at ₹ 4 per unit.

(ii) Prepare Process accounts for all the three processes X, Y and Z. ***(10 Marks)***

(b) MRSL Healthcare Ltd. has incurred the following expenditure during the last year for its newly launched 'COVID-19' Insurance policy:

Office administration cost	*48,00,000*
Claim management cost	*3,80,000*
Employees cost	*16,20,000*
Postage and logistics	*32,40,000*
Policy issuance cost	*29,50,000*
Facilities cost	*46,75,000*
Cost of marketing of the policy	*1,38,90,000*
Policy development cost	*35,00,000*
Policy servicing cost	*96,45,000*
Sales support expenses	*32,00,000*
I.T. Cost	*?*

Number of Policy sold: 2,800

Total insured value of policies - ₹ 3,500 Crores

Cost per rupee of insured value - ₹ 0.002

You are required to:

(i) Calculate Total Cost for "COVID-19" Insurance policy segregating the costs into four main activities namely (a) Marketing and Sales support (b) Operations (c) I.T. Cost and (d) Support functions.

(ii) Calculate Cost Per Policy. ***(5 Marks)***

(c) Brick Constructions Ltd. commenced a contract on April 1,2020. The contract was for ₹ 10,00,000. The following information relates to the Contract as on 31st March, 2021:

- *The value of work completed up to Feb. 28, 2021 was certified by the architect and as a matter of policy, the Contractee has retained ₹ 1,30,000 as retention money which is 20% of the certified work and paid the balance amount.*
- *The cost of work completed subsequent to the architect's certificate was of ₹ 30,000.*

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- *The expenditure incurred related to material purchase, wages and other chargeable expenses were ₹5,10,000*
- *Materials of the value of ₹20,000 were lying on the site.*
- *A special plant was purchased specifically for this contract at ₹40,000 and after use on this contract till 31st March, 2021, it was valued at ₹25,000.*

You are required to compute the value of Work Certified, Cash received for certified work and Notional profit of the contract for the year ended on 31st March, 2021. ***(5 Marks)***

Answer

(a)

Dr. **Process-X Account** *Cr.*

	Particulars	Units	(₹)		Particulars	Units	(₹)
To	Material introduced	15,000	30,000	By	Normal Loss A/c [(6% of 15,000 units) x ₹ 1.1]	900	990
”	Additional material	--	2,600	”	Process-Y A/c (₹ 2.951* × 14,100 units)	14,100	41,610
”	Direct wages	--	4,000				
”	Production OH	--	6,000				
		15,000	42,600			15,000	42,600

*Cost per unit of completed units

$$= \frac{\text{Total Cost} - \text{Realisable value from normal loss}}{\text{Inputs units} - \text{Normal loss units}} = \frac{₹\ 42,600 - ₹\ 990}{15,000 \text{ units} - 900 \text{ units}} = ₹\ 2.951$$

Dr. **Process-Y Account** *Cr.*

	Particulars	Units	(₹)		Particulars	Units	(₹)
To	Process-X A/c	14,100	41,610	By	Normal Loss A/c [(#13.44% of 14,100 units) x ₹ 2]	1,895	3,790
”	Additional material	--	2,250	”	Process-Z A/c (₹ 4 × 12,205 units)	12,205	48,820
”	Direct wages	--	3,500				
”	Production OH	--	5,250				
		14,100	52,610			14,100	52,610

#Calculation for % of wastage in process ‘Y’:

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Let's consider number of units lost under process 'Y' = A

Now, $\frac{\text{Total Cost - Realisable value from normal loss}}{\text{Inputs units - Normal loss units}} = 4$

$\frac{₹\ 52,610 - ₹\ 2A}{14,100 \text{ units} - A} = ₹\ 4$

₹ 52,610 - ₹ 2A = ₹ 56,400 - ₹ 4A

2A = ₹ 3,790 => A = 1,895 units

% of wastage = $\frac{1,895 \text{ units}}{14,100 \text{ units}}$ = **13.44%**

Dr. **Process-Z Account** *Cr.*

Particulars	Units	(₹)	Particulars	Units	(₹)
To Process-Y A/c	12,205	48,820	By Normal Loss A/c [(5% of 12,205 units) x ₹ 1]	610	610
" Additional material	--	2,000	" Finished Stock A/c (₹ 4.9771[$] × 12,000 units)	12,000	59,726
" Direct wages	--	3,000			
" Production OH	--	4,500			
" Abnormal gain (₹ 4.9771[$] × 405 units)	405	2,016			
	12,610	60,336		12,610	60,336

[$]Cost per unit of completed units

$= \frac{\text{Total Cost} - \text{Realisable value from normal loss}}{\text{Inputs units} - \text{Normal loss units}} = \frac{₹\ 58,320 - ₹\ 610}{12,205 \text{ units} - 610 \text{ units}} = ₹\ 4.9771$

Alternative Solution

Dr. **Process-X Account** *Cr.*

Particulars	Units	(₹)	Particulars	Units	(₹)
To Material introduced	15,000	30,000	By Normal Loss A/c [(6% of 15,000 units) x ₹ 1.1]	900	990

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"	Additional material	--	2,600	"	Process-Y A/c (₹ 2.951* × 14,100 units)	14,100	41,610
"	Direct wages	--	4,000				
"	Production OH	--	6,000				
		15,000	**42,600**			**15,000**	**42,600**

*Cost per unit of completed units

$$= \frac{\text{Total Cost} - \text{Realisable value from normal loss}}{\text{Inputs units} - \text{Normal loss units}} = \frac{₹\ 42,600 - ₹\ 990}{15,000 \text{ units} - 900 \text{ units}} = ₹\ 2.951$$

Dr. **Process-Y Account** *Cr.*

Particulars	Units	(₹)	Particulars	Units	(₹)
To Process-X A/c	14,100	41,610	By Normal Loss A/c [(#13.44% of 14,100 units) x ₹ 2]	1,895	3,790
" Additional material	--	2,250	" Process-Z A/c (₹ 4 × 12,631@ units)	12,631	50,524
" Direct wages	--	3,500			
" Production OH	--	5,250			
" Abnormal gain (₹ 4 × 426 units)	426	1,704			
	14,526	54,314		14,526	54,314

Working Notes:

@1. Units Transferred from Process Z Account to Finished Stock = 12,000 Units i.e 95% of Inputs.

So, Input of Z or Output of Y is 12,000 x 100/95 = 12,631 Units and Normal Loss (5%) is 631 units.

2. Let's consider number of units lost under process 'Y' as:

For Normal loss = A

For Abnormal loss = B

Now, A + B = 1,469 [i.e. 14,100 – 12,631] …(I)

(A x ₹ 2 per unit) + (B x ₹ 4 per unit) = [52,610 – 50,524]

2A + 4B = 2,086 …(II)

Now, putting the values of (I) in (II), we get,

2(1,469 – B) + 4B = 2,086

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2938 – 2B + 4B = 2,086

2B = - 852 => B = - 426 units

Since, the figure of B is in negative, it is an abnormal gain of 426 units.

Further, A (i.e. normal loss) = 1,469 + 426 = 1,895 units

#3. % of wastage in Process Y Account = $\frac{1,895 \text{ units}}{14,100 \text{ units}}$ = **13.44%**

Dr. **Process-Z Account** *Cr.*

Particulars	Units	(₹)	Particulars	Units	(₹)
To Process-Y A/c	12,631	50,524	By Normal Loss A/c [(5% of 12,631 units) x ₹ 1]	631	631
" Additional material	--	2,000			
" Direct wages	--	3,000			
" Production OH	--	4,500	" Finished Stock A/c (₹ 4.9494[$] × 12,000 units)	12,000	59,393
	12,631	60,024		12,631	60,024

[$]Cost per unit of completed units

$= \frac{\text{Total Cost - Realisable value from normal loss}}{\text{Inputs units - Normal loss units}} = \frac{₹ 60,024 - ₹ 631}{12,631 \text{ units} - 631 \text{ units}} = ₹ 4.9494$

(b) (i) Calculation of total cost for 'COVID-19' Insurance policy

	Particulars	Amount (₹)	Amount (₹)
a.	**Marketing and Sales support:**		
	- Policy development cost	35,00,000	
	- Cost of marketing	1,38,90,000	
	- Sales support expenses	32,00,000	**2,05,90,000**
b.	**Operations:**		
	- Policy issuance cost	29,50,000	
	- Policy servicing cost	96,45,000	
	- Claim management cost	3,80,000	**1,29,75,000**
c.	**IT Cost***		**2,21,00,000**

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d.	**Support functions**		
	- Postage and logistics	32,40,000	
	- Facilities cost	46,75,000	
	- Employees cost	16,20,000	
	- Office administration cost	48,00,000	**1,43,35,000**
	Total Cost		**7,00,00,000**

*IT cost

= (₹ 3,500 crores x 0.002) – ₹ 4,79,00,000 = ₹ 2,21,00,000

(ii) Calculation of cost per policy = $\frac{\text{Total cost}}{\text{No. of policies}} = \frac{₹\ 7,00,00,000}{2,800}$ = **₹** 25,000

(c) 1. Value of Work Certified

= $\frac{₹\ 1,30,000}{20\%}$ = **₹ 6,50,000**

2. Cash Received

= Value of Work certified – Retention Money

= 6,50,000 – 1,30,000 = **₹ 5,20,000**

3. Notional Profit

= Value of Work certified – Cost of work certified

= 6,50,000 - 4,75,000* = **₹ 1,75,000**

***Working Note**

Cost of work certified = Work cost - Cost of work uncertified

= (Expenditure + Plant used – Material at site) - Cost of work uncertified

= [5,10,000 + (40,000 - 25,000) - 20,000] - 30,000 = **₹** 4,75,000

Question 5

(a) The standard output of a Product 'DJ' is 25 units per hour in manufacturing department of a Company employing 100 workers. In a 40 hours week, the department produced 960 units of product 'DJ' despite 5% of the time paid was lost due to an abnormal reason. The hourly wage rates actually paid were ₹ 6.20, ₹ 6.00 and ₹ 5.70 respectively to Group 'A' consisting 10 workers, Group 'B' consisting 30 workers and Group 'C' consisting 60 workers. The standard wage rate per labour is same for all the workers. Labour Efficiency Variance is given ₹ 240 (F).

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You are required to compute:

(i) Total Labour Cost Variance.

(ii) Total Labour Rate Variance.

(iii) Total Labour Gang Variance.

(iv) Total Labour Yield Variance, and

(v) Total Labour Idle Time Variance. ***(10 Marks)***

(b) PSV Ltd. manufactures and sells a single product and estimated the following related information for the period November, 2020 to March, 2021.

Particulars	*November, 2020*	*December, 2020*	*January, 2021*	*February, 2021*	*March, 2021*
Opening Stock of Finished Goods (in Units)	*7,500*	*3,000*	*9,000*	*8,000*	*6,000*
Sales (in Units)	*30,000*	*35,000*	*38,000*	*25,000*	*40,000*
Selling Price per unit (in ₹)	*10*	*12*	*15*	*15*	*20*

Additional Information:

- *Closing stock of finished goods at the end of March, 2021 is 10,000 units.*
- *Each unit of finished output requires 2 kg of Raw Material 'A' and 3 kg of Raw Material 'B'.*

You are required to prepare the following budgets for the period November, 2020 to March, 2021 on monthly basis:

(i) Sales Budget (in ₹)

(ii) Production budget (in units) and

(iii) Raw material Budget for Raw material 'A' and 'B' separately (in units) ***(10 Marks)***

Answer

(a) Working Notes:

1. Calculation of Standard Man hours

When 100 workers work for 1 hour, the standard output is 25 units.

Standard man hours per unit $= \frac{100 \text{ hours}}{25 \text{ units}}$ **= 4 hours per unit**

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2. Calculation of standard man hours for actual output:

= 960 units x 4 hours **= 3,840 hours.**

3. Calculation of actual cost

Type of Workers	No of Workers	Actual Hours Paid	Rate (₹)	Amount (₹)	Idle Hours (5% of hours paid)	Actual hours Worked
Group 'A'	10	400	6.2	2,480	20	380
Group 'B'	30	1,200	6	7,200	60	1,140
Group 'C'	60	2,400	5.7	13,680	120	2,280
	100	**4,000**		**23,360**	**200**	**3,800**

4. Calculation of Standard wage Rate:

Labour Efficiency Variance = 240F

(Standard hours for Actual production – Actual Hours) x SR = 240F

(3,840 – 3,800) x SR = 240

Standard Rate (SR) **= ₹ 6 per hour**

(i) Total Labour Cost Variance

= (Standard hours x Standard Rate) – (Actual Hours x Actual rate)

= (3,840 x 6) – 23,360 **= 320A**

(ii) Total Labour Rate Variance

= (Standard Rate – Actual Rate) x Actual Hours

Group 'A' = (6- 6.2) 400 = 80A

Group 'B' = (6- 6) 1,200 = 0

Group 'C' = (6 – 5.7) 2,400 = 720F

640F

(iii) Total Labour Gang Variance

= Total Actual Time Worked (hours) × {Average Standard Rate per hour of Standard Gang -Average Standard Rate per hour of Actual Gang@}

@ on the basis of hours worked

$$= 3,800 \times \left(6 - \frac{3,840 \times 6}{3,800}\right)$$

= 0

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(iv) Total Labour Yield Variance

= Average Standard Rate per hour of Standard Gang × {Total Standard Time (hours) - Total Actual Time worked (hours)}

= 6 x (3,840 – 3,800)

= **240F**

(v) Total Labour idle time variance

= Total Idle hours x standard rate per hour

= 200 hours x 6

= 1,200A

(b) (i) Sales Budget **(in ₹)**

Particulars	Nov, 20	Dec, 20	Jan, 21	Feb, 21	Mar, 21	Total
Sales (in Units)	30,000	35,000	38,000	25,000	40,000	1,68,000
Selling Price per unit (₹)	10	12	15	15	20	-
Total Sales (₹)	3,00,000	4,20,000	5,70,000	3,75,000	8,00,000	24,65,000

(ii) Production Budget (in units)

Particulars	Nov, 20	Dec, 20	Jan, 21	Feb, 21	Mar, 21	Total
Sales	30,000	35,000	38,000	25,000	40,000	1,68,000
Add: Closing stock of finished goods	3,000	9,000	8,000	6,000	10,000	36,000
Total quantity required	33,000	44,000	46,000	31,000	50,000	2,04,000
Less: Opening stock of finished goods	7,500	3,000	9,000	8,000	6,000	33,500
Units to be produced	**25,500**	**41,000**	**37,000**	**23,000**	**44,000**	1,70,500

(iii) Raw material budget (in units)

For Raw material 'A'

Particulars	Nov, 20	Dec, 20	Jan, 21	Feb, 21	Mar, 21	Total
Units to be produced: (a)	25,500	41,000	37,000	23,000	44,000	1,70,500

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Raw material consumption p.u. (kg.): (b)	2	2	2	2	2	-
Total raw material consumption (Kg.): (a × b)	**51,000**	**82,000**	**74,000**	**46,000**	**88,000**	3,41,000

For Raw material 'B'

Particulars	Nov, 20	Dec, 20	Jan, 21	Feb, 21	Mar, 21	Total
Units to be produced: (a)	25,500	41,000	37,000	23,000	44,000	1,70,500
Raw material consumption p.u. (kg.): (b)	3	3	3	3	3	-
Total raw material consumption (Kg.): (a × b)	**76,500**	**1,23,000**	**1,11,000**	**69,000**	**1,32,000**	5,11,500

Question 6

Answer any four of the following:

(a) Specify the types of Responsibility centres under the following situations:

(i) Purchase of bonds, stocks, or real estate property.

(ii) Ticket counter in a Railway station.

(iii) Decentralized branches of an organization.

(iv) Maharana, Navratna and Miniratna public sector undertaking (PSU) of Central Government.

(v) Sales Department of an organization.

(b) What is Margin of Safety? What does a large Margin of Safety indicates? How can you calculate Margin of Safety?

(c) Rowan Premium Bonus system does not motivate a highly efficient worker as a less efficient worker and a highly efficient worker can obtain same bonus under this system. Discuss with an example.

(d) What do you understand by Build-Operate-Transfer (BOT) approach in Service Costing? How is the Toll rate computed?

(e) Write a short note on VED analysis of Inventory Control. ***(4 x 5 = 20 Marks)***

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Answer

(a)

Particulars	Types of Responsibility Centre
(i) Purchase of bonds, stocks, or real estate property.	Investment Centre
(ii) Ticket counter in a Railway station.	Revenue Centre
(iii) Decentralized branches of an organization.	Profit Centre
(iv) Maharatna, Navratna and Miniratna public sector undertaking (PSU) of Central Government.	Investment Centre
(v) Sales Department of an organization.	Revenue Centre

(b) Margin of Safety: The margin of safety can be defined as the difference between the expected level of sale and the breakeven sales.

The larger the margin of safety, the higher is the chances of making profits.

The Margin of Safety can be **calculated by** identifying the difference between the projected sales and breakeven sales in units multiplied by the contribution per unit. This is possible because, at the breakeven point all the fixed costs are recovered and any further contribution goes into the making of profits.

Margin of Safety = (Projected sales – Breakeven sales) in units x contribution per unit

It also can be calculated as:

$$\text{Margin of Safety} = \frac{\text{Profit}}{\text{P / V Ratio}}$$

(c) Rowan Premium Plan: According to this system a standard time allowance is fixed for the performance of a job and bonus is paid if time is saved.

Under Rowan System, the bonus is that proportion of the time wages as time saved bears to the standard time**.**

$$\text{Bonus} = \frac{\text{Time Saved}}{\text{Time Allowed}} \times \text{Time taken} \times \text{Rate per hour}$$

Example explaining highly efficient worker and less efficient worker obtaining same bonus:

Time rate (per Hour)	₹ 60
Time allowed	8 hours.
Time taken by 'X'	6 hours.

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Time taken by 'Y' 2 hours.

Bonus = $\frac{\text{Time Saved}}{\text{Time Allowed}}$ × Time taken × Rate per hour

For 'X' = $\frac{2 \text{ hours}}{8 \text{ hours}}$ × 6 hours × ₹ 60 **= ₹ 90**

For 'Y' = $\frac{6 \text{ hours}}{8 \text{ hours}}$ × 2 hours × ₹ 60 **= ₹ 90**

From the above example, it can be concluded that a highly efficient worker may obtain same bonus as less efficient worker under this system.

(d) Build-Operate-Transfer (BOT) Approach: In recent years a growing trend emerged among Governments in many countries to solicit investments for public projects from the private sector under BOT scheme. **BOT is an option for the Government to outsource public projects to the private sector.**

With BOT, the private sector designs, finances, constructs and operate the facility and eventually, after specified concession period, the ownership is transferred to the Government. Therefore, BOT can be seen as a developing technique for infrastructure projects by making them amenable to private sector participation.

Toll Rate: In general, the toll rate should have a direct relation with the benefits that the road users would gain from its improvements. The benefits to road users are likely to be in terms of fuel savings, improvement in travel time and good riding quality.

To compute the toll rate, following formula may be used

= $\frac{\text{Total Cost + Profit}}{\text{Number of Vehicles}}$

Or, to compute the toll rate following formula with rounding off to nearest multiple of five has been adopted: User fee = Total distance x Toll rate per km.

(e) Vital, Essential and Desirable (VED): Under this system of inventory analysis, **inventories are classified on the basis of its criticality for the production function and final product**. Generally, this classification is done for spare parts which are used for production.

(i) Vital- Items are classified as vital when its **unavailability can interrupt the production process and cause a production loss.** Items under **this category are strictly controlled by setting re-order level.**

(ii) Essential- Items under this category are essential but not vital. **The unavailability may cause sub standardisation and loss of efficiency in production process.** Items under this category are reviewed periodically and get the second priority.

(iii) Desirable- Items under this category are optional in nature; **unavailability does not cause any production or efficiency loss.**

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PAPER – 4 : TAXATION

SECTION A : INCOME TAX LAW

Part - II

*Question No.**1** is compulsory.*

*Candidates are also required to answer any **two** questions from the remaining **three** questions.*

Working notes should form part of the respective answers.

All questions relate to assessment year 2021-22, unless otherwise stated.

Question 1

Mr. Ashish, a resident individual, aged 43 years, provides professional services in the field of interior decoration. His Income & Expenditure A/c for the year ended 31st March, 2021 is as under:

Expenditure	***₹***	***Income***	***₹***
To Employees' Remuneration & Benefits	*13,66,000*	*By Consultancy Charges*	*58,80,000*
To Office & Administrative Exp.	*3,14,000*	*By Interest on Public Provident Fund (PPF) Account*	*60,000*
To General Expenses	*75,000*		
To Electricity Expenses	*65,000*	*By Interest on Savings Bank Account*	*20,000*
To Medical Expenses	*80,000*	*By Interest on National Savings Certificates VIII Issue (for 3rd year)*	*21,000*
To Purchase of Furniture	*48,000*		
To Depreciation	*90,000*		
To Excess of income over exp.	*39,43,000*		
	59,81,000		*59,81,000*

The following other information relates to financial year 2020-21:

(i) The expenses on Employees' Remuneration & Benefits includes:

(a) Family Planning expenditure of ₹ 20,000 incurred for the employees which was revenue in nature. The same was paid through account payee cheque.

(b) Payment of salary of ₹ 25,000 per month to sister-in-law of Mr. Ashish, who was in-charge of the Accounts & Receivables department. However, in comparison to similar work profile, the reasonable salary at market rates is ₹ 20,000 per month.

The Suggested Answers for Paper 4A: Income-tax Law are based on the provisions of Income-tax Law as amended by the Finance Act, 2020 which are relevant for July, 2021 Examination. The relevant assessment year is A.Y.2021-22.

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(ii) Amount received by Mr. Ashish as Employees' Contribution to EPF for the month of February, 2021 - ₹ 10,000 was deposited after the due date under the relevant Act relating to EPF.

(iii) Medical Expenses of ₹ 80,000 as appearing in the Income & Expenditure was expensed for the treatment of father of Mr. Ashish. His father was 72 years old and was not covered by any health insurance policy. The said payment of ₹ 80,000 was made through account payee cheque.

(iv) General expenses as appearing in the Income & Expenditure A/c, includes a sum of ₹ 25,000 paid to Ms. Anjaleen on 5th January, 2021 as commission for securing work from new clients. This payment was made to her without deduction of tax at source.

(v) Written down value of the depreciable assets as on 1st April, 2020 were as follows:

Professional Books	*₹ 90,000*
Computers	*₹ 35,000*

(vi) The new Furniture as appearing in the Income & Expenditure A/c was purchased on 31st August, 2020 and was put to use on the same day. The payment was made as under:

- *₹ 18,000 paid in cash at the time of purchase of new furniture on 31/08/20.*
- *₹ 19,000 paid by account payee cheque on 05/09/2020 as balance cost of new furniture and*
- *₹ 11,000 paid in cash on 31/08/20 to the transporter as freight charges for the new furniture.*

(vii) Mr. Ashish purchased a car on 02/04/2019 for ₹ 3,35,000 for personal use. However, on 30/04/2020 he brought the said car for use in his profession. The fair market value of the car as on 30/04/2020 was ₹ 2,50,000.

(viii) Mr. Ashish made a contribution of ₹ 1,00,000 in his PPF A/c on 31/01/2021.

(ix) The Gross Professional Receipts of Mr. Ashish for P.Y. 2019-20 was ₹ 52,00,000.

Compute the total income and tax liability of Mr. Ashish for A.Y. 2021-22, assuming that he has not opted for payment of tax under section 115BAC.

Ignore provisions relating to AMT and under section 14A relating to disallowance of expenditure incurred in relation to income not includible in total income. ***(14 Marks)***

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Answer

Computation of total income of Mr. Ashish for A.Y. 2021-22

	Particulars	₹	₹	₹
I	**Income from business or profession**			
	Excess of income over expenditure		39,43,000	
	***Add*: Items debited but not allowable while computing business income**			
	- Family planning expenditure incurred for employees [not allowable as deduction since expenditure on family planning for employees is allowed only to a company assesse/not allowed in case of individuals. Since the amount is debited to Income and Expenditure Account, the same has to be added back for computing business income]	20,000		
	- Salary payment to sister-in-law in excess of market rate [Any expenditure incurred for which payment is made to a relative, to the extent it is considered unreasonable is disallowed. However, sister-in-law is not included in the definition of "relative" for the purpose of section 40A(2). Therefore, no adjustment is required for excess salary paid to Mr. Ashish's sister-in-law]	Nil		
	- Employees' Contribution to EPF [Sum received by the assessee from his employees as contribution to EPF is income of the employer. Deduction in respect of such sum is allowed only if such amount is credited to the employee's account on or before due date under the relevant Act. Since, the employees contribution to EPF for February 2021 is deposited after the due date under the relevant Act, deduction would not be available]	10,000		
	- Medical expenses for the treatment of father [Not allowed as deduction since it is a personal expenditure / not an expenditure incurred for the purpose of business of	80,000		

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	Mr. Ashish. Since the amount is debited to Income and Expenditure Account, the same has to be added back for computing business income]		
-	Commission to Ms. Anjaleen without deduction of tax at source – [Mr. Ashish would be liable to deduct tax at source on commission since his gross receipts from profession exceeded ₹ 50 lakhs during F.Y.2019-20. Since commission has been paid without deduction of tax at source, hence 30% of ₹ 25,000, being commission paid without deducting tax at source, would be disallowed under section 40(a)(ia) while computing the business income of A.Y.2021-22]	7,500	
-	Depreciation as per books of account	90,000	
-	Purchase of Furniture [not allowable, since it is a capital expenditure]	48,000	
			2,55,500
			41,98,500
	Less: **Depreciation as per Income-tax Rules**		
	- On Professional Books [₹ 90,000 x 40%]	36,000	
	- On Computers [₹ 35,000 x 40%]	14,000	
	- On Furniture [₹19,000 x 10%, since it has been put to use for more than 180 days during the year] [Any expenditure for acquisition of any asset in respect of which payment or aggregate of payment made to a person, otherwise than by an a/c payee cheque/ bank draft or use of ECS or through prescribed electronic mode, exceeds ₹ 10,000 in a day, such expenditure would not form part of actual cost of such asset. Hence, ₹ 18,000 and ₹ 11,000 paid on 31.8.2020 in cash would not be included in the actual cost of furniture]	1,900	
	- On Car [₹ 3,35,000 x 15%] [Actual cost of car would be the purchase price of the car to Mr. Ashish, i.e., ₹ 3,35,000]	50,250	
			1,02,150
			40,96,350

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	Less: Items of income credited but not taxable or taxable under any other head of income			
	- Interest on Public Provident Fund [Exempt]	60,000		
	- Interest on savings bank account [Taxable under the head "Income from other sources"]	20,000		
	- Interest on National Savings Certificates VIII Issue (3rd Year) [Taxable under the head "Income from other sources"]	21,000	1,01,000	
				39,95,350
II	**Income from other sources**			
	Interest on savings bank account		20,000	
	Interest on National Savings Certificates VIII Issue (3rd Year)		21,000	41,000
	Gross Total Income			40,36,350
	Less: **Deduction under Chapter VI-A**			
	Deduction under section 80C			
	Contribution to PPF	1,00,000		
	Interest on NSC (3rd Year) (Reinvested)	21,000	1,21,000	
	Deduction under section 80D			
	Medical expenses for the treatment of father [Since Mr. Ashish's father is a senior citizen and not covered by any health insurance policy, payment for medical expenditure by a mode other than cash would be allowed as deduction to the extent of ₹ 50,000]		50,000	
	Deduction under section 80TTA			
	Interest on savings bank account to the extent of ₹ 10,000		10,000	1,81,000
	Total income			38,55,350

Computation of tax liability of Mr. Ashish for A.Y.2021-22

Particulars	₹	₹
Tax on total income of ₹ 38,55,350		
Upto ₹ 2,50,000	Nil	
₹ 2,50,001 – ₹ 5,00,000[@5% of ₹ 2.50 lakh]	12,500	
₹ 5,00,001 – ₹ 10,00,000[@20% of ₹ 5 lakh]	1,00,000	

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₹ 10,00,001- ₹ 38,55,350 [@30% of ₹ 28,55,350]	8,56,605	
		9,69,105
Add: Health and education cess@4%		38,764
Tax liability		10,07,869
Tax liability (rounded off)		**10,07,870**

Question 2

(a) Mrs. Rohini, aged 62 years, was born and brought up in New Delhi. She got married in Russia in 1996 and settled there since then. Since her marriage, she visits India for 60 days each year during her summer break. The following are the details of her income for the previous year ended 31.03.2021:

S. No.	***Particulars***	***Amount (in ₹)***
1.	*Pension received from Russian Government*	*65,000*
2.	*Long-term capital gain on sale of land at New Delhi (computed)*	*3,00,000*
3.	*Short-term capital gain on sale of shares of Indian listed companies in respect of which STT was paid both at the time of acquisition as well as at the time of sale (computed)*	*60,000*
4.	*Premium paid to Russian Life Insurance Corporation at Russia*	*75,000*
5.	*Rent received (equivalent to Annual Value) in respect of house property in New Delhi*	*90,000*

You are required to ascertain the residential status of Mrs. Rohini and compute her total income and tax liability in India for Assessment Year 2021-22. ***(6 Marks)***

(b) Examine whether TDS provisions would be attracted in the following cases, and if so, under which section. Also specify the rate of TDS and amount required to be deducted at source as applicable in each case. Assume that all payments are made to residents.

S. No.	***Particulars of the payer***	***Nature of payment***	***Aggregate of payments made in the F.Y. 2020-21 (Amt. in ₹)***
(A)	*Mr. Kale, receiving pension from Central Government*	*Contractual payment made during April 2020 for reconstruction of his residential house in Arunachal Pradesh*	*52,50,000*
(B)	*Mr. Rahul, a wholesale trader of spices whose turn-*	*Contract payment for construction of office godown*	*50,00,000*

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	over was ₹ 5 crores F.Y. 2019-20	*during January to March 2021 to Mr. Akhilesh, an individual*	
(C)	*Mr. Golu, an individual carrying garment trading business with turnover of ₹ 95 lakhs in F.Y. 2019-2020*	*Payment of commission to Mr. Vinay for securing a contract from a big business house in November 2020*	*1,20,000*
(D)	*XYZ Urban Co-operative bank*	*Payment by way of cash withdrawal, by ABC & Co. a partnership firm, amounting ₹ 1.2 crores during Financial Year 2020-21. ABC & Co. has filed its tax returns for the last 3 financial years with in time.*	*1,20,00,000*

(2 x 4 = 8 Marks)

Answer

(a) An Indian citizen or a person of Indian origin who, being outside India, comes on a visit to India (and whose total income, other than from foreign sources, does not exceed ₹ 15,00,000) would be resident in India only if he or she stays in India for a period of 182 days or more during the previous year.

Since Mrs. Rohini is a person of Indian origin who comes on a visit to India only for 60 days in the P.Y.2020-21 and her income other than from foreign sources does not exceed ₹ 15,00,000, she is non-resident for the A.Y. 2021-22[1].

A non-resident is chargeable to tax in respect of income received or deemed to be received in India and income which accrues or arises or is deemed to accrue or arise to her in India. Accordingly, her total income and tax liability would be determined in the following manner:

Computation of total income and tax liability of Mrs. Rohini for A.Y. 2021-22

Particulars	Amt (₹)
Salaries	
Pension received from Russian Government [Not taxable, since it neither accrues or arises in India nor is it received in India]	Nil
Income from House Property	
Annual Value [Rental Income from house property in New Delhi is taxable, since it is deemed to accrue or arise in India, as it accrues or arises from a property situated in India] 90,000	

[1] *Even if her total income exceeds ₹ 15 lakh, still, she would be non-resident since the minimum period of stay required in the current year for being a resident is 120 days.*

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Less: Deduction u/s 24(a) @ 30%	27,000	63,000
Capital Gains		
Long-term capital gains on sale of land at New Delhi [Taxable, since it is deemed to accrue or arise in India as it is arising from transfer of land situated in India]		3,00,000
Short-term capital gains on sale of shares of Indian listed companies in respect of which STT was paid [Taxable, since it is deemed to accrue or arise in India, as such income arises on transfer of shares of Indian listed companies]		60,000
Gross Total Income		**4,23,000**
Less: **Deduction under Chapter VI-A**		
Deduction under section 80C		63,000
- Life insurance premium[2] of ₹ 75,000 [Premium paid to Russian Life Insurance Corporation allowable as deduction. However, the same has to be restricted to gross total income excluding LTCG and STCG, as Chapter VI-A deductions are not allowable against such income chargeable to tax u/s 112 and 111A, respectively]		
Total Income		**3,60,000**
Computation of Tax Liability		
Long-term capital gains taxable @20% u/s 112 [3,00,000 x 20%]		60,000
Short-term capital gains taxable @15% u/s 111A [60,000 x 15%]		9,000
		69,000
Add: Health and Education Cess @4%		2,760
Tax Liability		**71,760**

Note - *The benefit of adjustment of unexhausted basic exemption limit against long-term capital gains taxable u/s 112 and short-term capital gains taxable u/s 111A is not available in case of non-resident. Further, rebate u/s 87A is not allowable to a non-resident, even if his income does not exceed ₹ 5 lakh.*

(b) **(i)** Mr. Kale, being a pensioner, would not be liable to deduct tax at source under section 194C. However, he has to deduct tax at source @ 5% u/s 194M, since the aggregate amount of payment to the contractor for his personal purposes i.e., for reconstruction of his residential house in Arunachal Pradesh, exceeds the threshold limit of ₹ 50,00,000.

Therefore, TDS u/s 194M would be = ₹ 52,50,000 x 5% = ₹ 2,62,500.

(ii) Mr. Rahul is required to deduct tax at source u/s 194C, since his turnover from business in the financial year 2019-20, being the financial year immediately

[2] *It is assumed that such premium is paid for self or spouse or any child of Mrs. Rohini*

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preceding F.Y.2020-21 in which such sum is paid, exceeds ₹ 1 crore. Tax is to be deducted at source at the rate 1% as the payment is made to an Individual. However, since payment is made during the period 14.05.2020 and 31.3.2021, tax is to be deducted at the reduced rate of 0.75%.

Therefore, TDS u/s 194C would be = ₹ 50,00,000 x 0.75% = ₹ 37,500

(iii) Tax is required to be deducted u/s 194H, if the payer is an individual whose turnover from business carried on by him in the financial year immediately preceding the financial year in which commission is paid, exceeds ₹ 1 crore. However, where TDS u/s 194H is not applicable, tax is required to be deducted u/s 194M where payment of commission during the relevant previous year exceeds ₹ 50 lakhs

In the present case, Mr. Golu is not required to deduct tax at source u/s 194H on the commission paid to Mr. Vinay in the P.Y.2020-21 since his turnover from his business does not exceed ₹ 1 crore during the P.Y. 2019-20.

Further, Mr. Golu is also not required to deduct tax at source u/s 194M on the said commission paid to Mr. Vinay since the commission paid does not exceed ₹ 50 lakhs during the P.Y. 2020-21.

(iv) A co-operative bank which is responsible for paying any sum, being the amount or aggregate of amounts, as the case may be, in cash exceeding ₹ 1 crore during the previous year, to any person from an account maintained by such person with it, has to deduct an amount equal to 2% of such sum, as income-tax at the time of payment. Accordingly, since XYZ Urban Co-operative is responsible for paying a sum exceeding ₹ 1 crore (₹ 1.2 crore, in this case) in cash to ABC & Co., a partnership firm, during the F.Y.2020-21, the bank is required deduct tax at source @ 2% of such sum.

Therefore, TDS u/s 194N would be = ₹ 20,00,000 x 2% = ₹ 40,000.

Question 3

(a) Mr. Ramesh constructed a big house (construction completed in Previous Year 2008-09) with 3 independent units. Unit - 1 (50% of floor area) is let out for residential purpose at monthly rent of ₹ 15,000. A sum of ₹ 3,000 could not be collected from the tenant and a notice to vacate the unit was given to the tenant. No other property of Mr. Ramesh is occupied by the tenant. Unit - 1 remains vacant for 2 months when it is not put to any use. Unit - 2 (25% of the floor area) is used by Mr. Ramesh for the purpose of his business, while Unit - 3 (the remaining 25%) is utilized for the purpose of his residence. Other particulars of the house are as follows:

Municipal valuation - ₹ 1,88,000

Fair rent - ₹ 2,48,000

Standard rent under the Rent Control Act - ₹ 2,28,000

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Municipal taxes - ₹ 20,000

Repairs - ₹ 5,000

Interest on capital borrowed for the construction of the property - ₹ 60,000, ground rent ₹ 6,000 and fire insurance premium paid - ₹ 60,000.

Income of Ramesh from the business is ₹ 1,40,000 (without debiting house rent and other incidental expenditure).

Determine the taxable income of Mr. Ramesh for the assessment year 2021-22 if he does not opt to be taxed under section 115BAC. ***(6 Marks)***

(b) *Examine the taxability of capital gains in the following scenarios for the Assessment Year 2021-22, determine the taxable amount and rate of tax applicable:*

(i) *On 28th February, 2021 10,000 shares of XY Ltd., a listed company are sold by Mr. B @ 550 per share and STT was paid at the time of sale of shares. These shares were acquired by him on 5th April, 2017 @ ₹ 395 per share by paying STT at the time of purchase. On 31st January, 2018, the shares of XY Ltd. were traded on a recognized stock exchange at the Fair Market Value of ₹ 390 per Share.*

(ii) *Mr. A is the owner of residential house which was purchased on 1st September, 2016 for ₹ 9,00,000. He sold the said house on 4th September, 2020 for ₹ 19,00,000. Valuation as per stamp valuation authorities was ₹ 45,00,000. He invested ₹ 19,00,000 in NHAI Bonds on 21st March, 2021.*

The Cost Inflation index for-

F.Y.	*2016-17*	*264*
F.Y.	*2020-21*	*301*

(2 x 2 = 4 Marks)

(c) *Mr. Patel is a proprietor of Star Stores since 20-05-2018. He has transferred his shop by way of slump sale for a total consideration of ₹ 40 Lakh. The professional fees & brokerage paid for this sale are ₹ 80,000. His Balance Sheet as on 31-03-2021 is as under :*

Liabilities	***₹***	***Assets***	***₹***
Own Capital	*10,50,000*	*Building*	*5,00,000*
Bank Loan	*5,00,000*	*Furniture*	*5,00,000*
Trade Creditors	*2,50,000*	*Debtors*	*2,00,000*
Unsecured Loan	*2,00,000*	*Other Assets*	*8,00,000*
	20,00,000		***20,00,000***

Other Information:

1. *No individual value of any asset is considered in the transfer deed.*

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2. *Other assets include trademarks valuing ₹ 2,00,000 as on 01-04-2020 on which no depreciation has been provided.*
3. *Furniture of ₹ 1,50,000 purchased on 05-11-2020 on which no depreciation has been provided.*
4. *Unsecured loan includes ₹ 50,000 as advance received from his wife, which she has agreed to waive off.*

Compute the capital gain for A.Y. 2021-22. ***(4 Marks)***

Answer

(a) Computation of Taxable Income of Mr. Ramesh for A.Y. 2021-22 under the regular provisions of the Act

Particulars	Amount (₹)	Amount (₹)
Income from house property		
Unit - 1 [50% of floor area - Let out]		
Gross Annual Value, higher of - **Expected rent ₹ 1,14,000** [Higher of Municipal Value of ₹ 94,000 p.a. and Fair Rent of ₹ 1,24,000 p.a., but restricted to Standard Rent of ₹ 1,14,000 p.a.] - Actual rent ₹ 1,47,000 [₹ 15,000 x 10] *less* unrealized rent[3] of ₹ 3,000		
Gross Annual Value *(Alternatively, ₹ 1,50,000 can be shown as actual rent and gross annual value, and thereafter, deduct ₹ 3,000 unrealized rent therefrom)*	1,47,000	
Less: Municipal taxes [50% of ₹20,000[4]]	10,000	
Net annual value	1,37,000	
Less: Deductions from Net Annual Value		
(a) 30% of Net Annual Value	41,100	
(b) Interest on loan [50% of ₹ 60,000]	30,000	65,900
Unit – 3 [25% of floor area – Self occupied]		
Net Annual Value	-	
Less: Interest on loan [25% of ₹ 60,000]	15,000	(15,000)
Income from house property		50,900

[3] *Since the conditions laid down under Rule 4 of Income-tax Rules, 1962, are satisfied*

[4] *Assumed to have been paid during the year by Mr. Ramesh*

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Profits and gains from business or profession			
Business Income [without deducting expenditure on Unit -2 25% floor area used for business purposes]		1,40,000	
Less: **Expenditure in respect of Unit -2**			
- Municipal taxes [25% of ₹ 20,000[5]]	5,000		
- Repairs [25% of ₹ 5,000]	1,250		
- Interest on loan [25% of ₹ 60,000]	15,000		
- Ground rent [25% of ₹ 6,000]	1,500		
- Fire Insurance premium [25% of ₹ 60,000]	15,000		
		37,750	1,02,250
Taxable Income			**1,53,150**

(b)

	Particulars		Amount ₹
(i)	**Long-term capital gain on transfer of 10,000 shares of XY Ltd. [taxable u/s 112A @10% on amount exceeding ₹ 1,00,000]**		
	Full value of consideration [10,000 x ₹ 550]		55,00,000
	Less: Cost of acquisition		
	Higher of		
	Cost of acquisition [10,000 x ₹ 395]	39,50,000	
	Lower of fair market value per share as on 31.1.2018 i.e., ₹ 390 per share and sale consideration i.e., ₹ 550 per share [10,000 x ₹ 390]	39,00,000	39,50,000
	Long term capital gain taxable u/s 112A		15,50,000
	Long-term capital gain exceeding ₹ 1 lakh i.e., ₹ 14,50,000 would be taxable @10%		
(ii)	**Sale of residential house [long-term capital asset, since held for more than 24 months]**		
	Full value of consideration [stamp duty value, since it exceeds 110% of actual sale consideration]		45,00,000
	Less: Indexed cost of acquisition [₹ 9,00,000 x 301/264]		10,26,136
			34,73,864

[5] *Assumed to have been paid on or before the due date u/s 139(1)*

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	Less: Deduction under section 54EC No deduction under section 54EC would be allowed on investment of ₹ 19,00,000 in NHAI bonds, since such investment is made on 21st March 2021 i.e., after six months from the date of transfer i.e., 4th September, 2021	Nil
	Long-term capital gain taxable u/s 112 @ 20%	**34,73,864**

(c) Computation of capital gains on slump sale of shop

Particulars		₹
Sale value		40,00,000
Less: Expenses on sale [professional fees & brokerage]		80,000
Net sale consideration		39,20,000
Less: Net worth **(See Working Note below)**		10,42,500
Short-term capital gain [Since shop is held for not more than 36 months immediately preceding the date of transfer]		**28,77,500**
Working Note:		
Computation of net worth of shop		
Building		5,00,000
Furniture	5,00,000	
Less: Deprecation on ₹1,50,000 @ 5%, being 50% of 10% since furniture is put to use for less than 180 days during the previous year	7,500	4,92,500
Debtors		2,00,000
Other assets	8,00,000	
Less: Deprecation on ₹ 2,00,000, being intangible asset @ 25%	50,000	7,50,000
Total assets		**19,42,500**
Less: Bank loan	5,00,000	
Trade creditors	2,50,000	
Unsecured loan ₹ 2,00,000 *less* ₹ 50,000, being the amount waived off by his wife	1,50,000	
		9,00,000
Net worth		**10,42,500**

Question 4

(a) Mr. Dharmesh who is 45 years old and his wife Mrs. Anandi who is 42 years old furnished the following information:

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S. No.	Particulars	Amount (₹)
(i)	Salary income (computed) of Mrs. Anandi	9,60,000
(ii)	Income of minor son "A" who suffers from disability specified in section 80U	3,08,000
(iii)	Income of minor daughter "C" from script writing for Television Serials	1,86,000
(iv)	Income from garment trading business of Mr. Dharmesh	17,50,000
(v)	Cash gift received by minor daughter "C" on 02-10-2020 from friend of Mrs. Anandi, on winning of a story writing competition	45,000
(vi)	Income of minor son "B" form scholarship received from his school	1,00,000
(vii)	Income of minor son "B" from fixed deposit with Punjab National Bank, made out of income earned from scholarship	5,000

Compute the total income of Mr. Dharmesh and his wife Mrs. Anandi for Assessment Year 2021-22 assuming that they have not opted to be taxed under section 115BAC. ***(5 Marks)***

(b) *Mr. X a resident individual submits the following information, relevant to the previous year ending March 31, 2021:*

S. No.	Particulars	Amount (₹)
(i)	Income from Salary (Computed)	2,22,000
(ii)	Income from House Property	
	- House in Delhi	22,000
	- House in Chennai	(-) 2,60,000
	- House in Mumbai (self-occupied)	(-) 20,000
(iii)	Profit and gains from business or profession	
	- Textile business	18,000
	- Cosmetics business	(-) 22,000
	- Speculative business- 1	(-) 74,000
	- Speculative business-2	46,000
(iv)	Capital gains	
	Short term capital loss from sale of property	(-) 16,000
	Long term capital gains from sale of property	15,400
(v)	Income from other sources (Computed)	
	- Income from betting	34,000
	- Income from card games	46,000
	- Loss on maintenance of race horses	(-)14,600

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Determine the gross total income of Mr. X for the assessment year 2021-22 and the losses to be carried forward assuming that he does not opt to be taxed under section 115BAC.

(5 Marks)

(c) *Enumerate the cases where a return of loss has to be filed on or before the due date specified u/s 139(1) for carry forward of the losses. Also enumerate the cases where losses can be carried forward even though the return of loss has not been filed on or before the due date.* ***(4 Marks)***

OR

In the following cases relating to P.Y.2020-21, the total income of the assessee or the total income of any other person in respect of which he/she is assessable under Income-tax Act does not exceed the basic exemption limit. You are required to state with reasons, whether the assessee is still required to file the return of income or loss for A.Y.2021-22 in each of the following independent situations:

(i) *Manish & Sons (HUF) sold a residential house on which there arose a long term capital gain of ₹ 12 lakhs which was invested in Capital Gain Bonds u/s 54EC so that no long term capital gain was taxable.* ***(1½ Marks)***

(ii) *Mrs. Archana was born in Germany and married in India. Her residential status under section 6(6) of the Income-tax Act, 1961 is 'resident and ordinarily resident'. She owns a car in Germany which she uses for her personal purposes during her visit to her parents' place in that country.* ***(1½ Marks)***

(iii) *Sudhakar has incurred an expenditure of ₹ 1,20,000 towards consumption of electricity, the entire payment of which was made through banking channels.*

(1 Mark)

Answer

(a) Computation of Total Income of Mr. Dharmesh and Mrs. Anandi for A.Y. 2021-22

Particulars	Mr. Dharmesh	Mrs. Anandi
	Amount (₹)	
Salary income (computed)		9,60,000
Income from garment trading business	17,50,000	
Total Income before including income of minor children	17,50,000	9,60,000
Income of minor son "A"		
Income of ₹ 3,08,000 of minor son A who suffers from disability specified in section 80U [Since minor child A is suffering from disability specified under section 80U, hence, his income would not		

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be included in the income of the parent but would be taxable in the hands of the minor child]			
Income of minor son "B"			
Income of ₹ 1,00,000 from scholarship [Exempt u/s 10(16)]		-	
Income from fixed deposit with PNB [Since Mr. Dharmesh's income is greater than that of Mrs. Anandi, income of minor son B from fixed deposit would be included in the hands of Mr. Dharmesh. Interest from bank deposit has to be included in Mr. Dharmesh's income, even if deposit is made out of income earned from scholarship]	5,000		
Less: Exemption under section 10(32)	1,500	3,500	
Income of minor daughter "C"			
Income of ₹ 1,86,000 from script writing for television serials [Income derived by a minor child from any activity involving application of his/her skill, talent, specialized knowledge and experience is not to be included in the hands of the parent]		Nil	
Hence, clubbing provisions will not apply in this case/no adjustment is required.			
Cash gifts of ₹ 45,000 received from friend of Mrs. Anandi [Gift not exceeding ₹ 50,000 received from a non-relative is not taxable under section 56(2)(x)]			
Hence, clubbing provisions will not apply in this case / no adjustment is required.		Nil	
Gross Total Income/ Total Income		**17,53,500**	**9,60,000**

Note - *As per section 10(16), scholarships granted to meet the cost of education is exempt from tax. The purpose of scholarship received by minor son B is explicitly not mentioned in the question. However, scholarships given by schools are generally in the form of financial assistance for meeting the cost of education. Hence, it is logical to assume that the scholarship to B has been granted to him to meet his cost of education. Based on this assumption, the same has been treated as exempt from tax u/s 10(16).*

Alternate view *- However, in absence of specific information, it is possible to assume that such scholarship has been granted on account of B's exceptional academic achievements*

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i.e., involving application of his skill, talent, specialised knowledge and experience and hence would be covered under the proviso to section 64(1A) and thus should not be included in the income of parent.

(b) Computation of Gross Total Income of Mr. X for A.Y. 2021-22

Particulars	Amount	Amount
Salaries		
Income from salary (computed)	2,22,000	
Less: Set-off of loss from house property of ₹ 2,58,000 to the extent of ₹ 2 lakhs by virtue of section 71(3A)	2,00,000	22,000
Income from house property		
- House in Delhi	22,000	
- House in Chennai	(2,60,000)	
- House in Mumbai (self-occupied)	(20,000)	
	(2,58,000)	
Loss upto ₹ 2 lakhs can be set off against income from salary. Balance loss of ₹ 58,000 from house property has to be carried forward to A.Y.2022-23.		
Profits and gains from business or profession		
Profits from Speculative business – 2	46,000	
Less: Loss of ₹ 74,000 from speculation business - 1 set off to the extent of profits of ₹ 46,000 as per section 73(1) from another speculation business. Loss from speculation business cannot be set-off against any income other than profit and gains of another speculation business. Hence, the balance loss of ₹ 28,000 from speculative business has to be carried forward to A.Y.2022-23.	(46,000)	-
Profits from textile business	18,000	
Less: Loss from cosmetic business of ₹ 22,000 set off against profits from textile business to the extent of ₹ 18,000 as per section 70(1).	(18,000)	-
Balance loss of ₹ 4,000 from cosmetic business has to be carried forward to A.Y.2022-23, since the same cannot be set-off against salary income.		
Capital Gains		
Long term capital gain from sale of property	15,400	

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Less: Short-term capital loss can be set-off against both short-term capital gains and long-term capital gains. Short term capital loss of ₹ 16,000 set off against long-term capital gains to the extent of ₹ 15,400 as per section 74(1).	(15,400)	-
Balance short term capital loss of ₹ 600 has to be carry forward to A.Y.2022-23		
Income from Other Sources		
Income from betting [No loss is allowed to be set off against such income]	34,000	
Income from card games [No loss is allowed to be set off against such income]	46,000	
Loss on activity of owning and maintenance of race horses [Loss incurred on activity of owning and maintenance of race horses cannot be set-off against income from any source other than the activity of owning and maintaining race horses. Hence, such loss of ₹ 14,600 has to be carried forward to A.Y.2022-23]	Nil	
		80,000
Gross Total Income		**1,02000**

(c) [First Alternative]

As per section 139(3), an assessee is required to file a return of loss within the due date specified u/s 139(1) for filing return of income.

As per section 80, certain losses which have not been determined in pursuance of a return filed under section 139(3) on or before the due date specified under section 139(1) cannot be carried forward and set-off. Thus, the assessee has to file a return of loss under section 139(3) within the time allowed u/s 139(1) in order to carry forward and set off of following losses:

- loss under the head "Capital Gains",
- loss from activity of owning and maintaining race horses.
- business loss,
- speculation business loss and
- loss from specified business.

However, following can be carried forward for set-off even if the return of loss has not been filed before the due date:

- Loss under the head "Income from house property" and
- Unabsorbed depreciation.

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(c) [Second Alternative]

(i) A HUF whose total income without giving effect to, *inter alia,* section 54EC, exceeds the basic exemption limit of ₹ 2,50,000, is required to file a return of its income on or before the due date under section 139(1). In this case, since the total income without giving effect to exemption under section 54EC is ₹ 12 lakhs, exceeds the basic exemption limit, the HUF is required to file its return of income for A.Y. 2021-22 on or before the due date under section 139(1).

(ii) Every person, being a resident other than not ordinarily resident in India would be required to file a return of income or loss for the previous year on or before the due date, even if his or her total income does not exceed the basic exemption limit, if such person, at any time during the previous year, *inter alia*, holds any asset located outside India.

In this case, though Mrs. Archana owns a car in Germany, the same does not fall within the ambit of "capital asset" as it is a personal effect. Hence, Mrs. Archana is not required to file her return of income for A.Y. 2021-22 on account of owning a car for personal purposes in Germany.

Note – *"Asset" for the purpose of the fourth proviso to section 139(1) has not been specifically defined in the said section or elsewhere in the Act. Schedule FA of the income-tax return forms, however, requires details of foreign assets for the purpose of filing of return of income under this provision. The foreign assets listed in the said Schedule does not include car. It, however, includes "any other capital assets outside India". Car used for personal purposes is not a capital asset as it is a "personal effect". Hence, it is not included in the meaning of "asset" for the purpose of the fourth proviso to section 139(1). The above answer is based on the view taken regarding the ambit of the term "asset", based on the list of assets detailed in the relevant schedule of the income-tax return forms.*

Alternative view - *On the plain reading of the fourth proviso to section 139(1) and the general meaning attributable to the word "asset", it is possible to take a view that Mrs. Archana is required to file her return of income as she owns an asset, i.e., a car in Germany. Accordingly, due credit may also be given to the candidates who have answered on this basis.*

(iii) If an individual has incurred expenditure exceeding ₹ 1 lakh towards consumption of electricity during the previous year, he would be required to file a return of income, even if his total income does not exceed the basic exemption limit. Since Mr. Sudhakar has incurred expenditure of ₹ 1,20,000 in the P.Y.2020-21 towards consumption of electricity, he has to file his return of income for A.Y. 2021-22 on or before the due date under section 139(1).

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SECTION B: INDIRECT TAXES

*Question No. **5** is compulsory.*

*Candidates are also required to answer any **two** questions from the remaining **three** questions.*

All questions should be answered on the basis of position of position of GST law as amended by significant notifications/circulars issued upto 31st October,2020.

Working notes should form part of the answer.

Wherever necessary, suitable assumptions may be made by the candidates and disclosed by way of note.

Question 5

X Electronics is a registered manufacturer of electrical appliances.

It made contract with dealers, that purchase of air conditioners of capacity 1.5 ton in the month of October, 2020 of quantity of more than 50 units will entitle them for 10% discount.

Inter-State supply made during the month of October 2020 is ₹ 50,00,000

Details of Intra-State supply:

Particulars	***Amount (₹)***
Supply of Microwave Oven	*15,00,000*
Supply of Refrigerators with Stabilizers being a mixed supply, rate of GST on Refrigerator is 28% (14% CGST & 14% SGST), rate of GST on Stabilizer is 18% (9% CGST & 9% SGST)	*40,00,000*
Supply of Air Conditioners of capacity 1.5 Ton @ ₹ 50,000 per Air Conditioner	*50,00,000*

Intra-State inward supplies are :

Particulars	***Amount (₹)***
Raw material	*20,00,000*
Paid Gym membership for employees	*50,000*
Truck purchased for transportation of goods	*30,00,000*

X Electronics made supply of Air Conditioners (capacity 1.5 ton) to only one dealer named Mr. L.

Gym membership for employees is not obligatory for X Electronics under any law.

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Opening Balance of ITC is as under:

CGST: ₹ 58,000

SGST: ₹ 70,000

IGST: ₹ 10,00,000

Note:

(i) Rate of CGST, SGST and IGST are 9%, 9% and 18% respectively for both inward and outward supplies except where specifically provided.

(ii) Both inward and outward supplies are exclusive of taxes.

(iii) All the conditions for availing the ITC have been fulfilled.

Compute the Net GST payable in cash by X Electronics for the month of October, 2020.

(8 Marks)

Answer

Computation of net GST payable in cash by X Electronics for October 2020

Particulars		Amount (₹)	CGST (₹)	SGST (₹)	IGST (₹)
I.	Intra-State supply				
	Supply of microwave oven	15,00,000	1,35,000	1,35,000	
	Supply of refrigerators with stabilizers [Being mixed supply, the supply shall be treated as a supply of that particular supply which attracts the highest rate of tax and taxed accordingly. Thus, it will be taxed @ 14% CGST and 14% SGST.]	40,00,000	5,60,000	5,60,000	
	Supply of 100 (₹ 50 lakh/ ₹ 50,000) air conditioners [Since 100 air conditioners have been supplied, discount @ 10% will be available.][1]	45,00,000 [₹ 50,00,000 x 90%]	4,05,000	4,05,000	

[1] *It has been presumed that there is one supply transaction for 100 ACs and thus, the discount has been given in the invoice itself. Alternatively, even if there have been multiple supply transactions for the ACs during the month and the discount has been given vide credit note, it has been presumed that the credit note has been issued in October 2020 and all other conditions prescribed in section 15(3)(b) of the CGST Act, 2017 have been complied with. Thus, the effect of the discount has been adjusted in the month of October 2020 itself.*

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II.	Inter-State supply @ 18%	50,00,000			9,00,000
Total outward tax liability			11,00,000	11,00,000	9,00,000
Less: Input Tax Credit (Refer Working Note below)					
IGST credit first utilized towards payment of IGST. Remaining amount can be utilized towards CGST and SGST in any order and in any proportion			1,00,000 (IGST)		9,00,000 (IGST)
CGST credit set off against CGST liability and SGST credit set off against SGST liability as CGST credit cannot be utilized towards payment of SGST and vice versa.			5,08,000 (CGST)	5,20,000 (SGST)	
Net GST liability payable in cash			4,92,000	5,80,000	Nil

Working Note

Computation of ITC available with X Electronics

Particulars		**CGST (₹)**	**SGST (₹)**	**IGST (₹)**
Opening balance of ITC		58,000	70,000	10,00,000
Intra-State inward supplies				
Raw material	20,00,000	1,80,000	1,80,000	
Gym membership for employees [ITC on membership of a health and fitness centre is blocked if there is no statutory obligation for the employer to provide the same.]	50,000	Nil	Nil	
Truck purchased for transportation of goods [ITC on motor vehicles used for transportation of goods is not blocked[2].]	30,00,000	2,70,000	2,70,000	
Total ITC		5,08,000	5,20,000	10,00,000

Note: *In the above answer, tax payable in cash has been computed by setting off the IGST credit against CGST liability. However, since IGST credit can be set off against CGST and SGST liability in any order and in any proportion, the same can be set off against CGST and/or SGST liabilities in different other ways as well. In all such cases, net CGST and net SGST payable in cash will differ though the total amount of net GST payable (₹ 10,72,000) in cash will remain the same.*

[2] *It has been assumed that depreciation has not been claimed on tax component.*

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Question 6

(a) A Ltd. procured the following goods in the month of December, 2020.

Inward Supplies	*GST (₹)*
(1) Goods used in constructing an additional floor of office building	*18,450*
(2) Goods given as free sample to prospective customers	*15,000*
(3) Trucks used for transportation of inputs in the factory	*11,000*
(4) Inputs used in trial runs	*9,850*
(5) Confectionery items for consumption of employees working in the factory	*3,250*
(6) Cement used for making foundation and structural support to plant and machinery	*8,050*

Compute the amount of ITC available with A Ltd. for the month of December 2020 by giving necessary explanations. Assume that all the other conditions necessary for availing ITC have been fulfilled. ***(6 Marks)***

(b) Explain the composite supply and mixed supply. If a trader launches a package sales for marriage containing double bed, refrigerator, washing machine, wooden wardrobe at a single rate. He is issuing invoice showing value of each goods separately. Whether this is case of mixed supply or composite supply. Explain. ***(4 Marks)***

Answer

(a) Computation of amount of ITC available for the month of December 2020

S. No.	Particulars	GST (₹)
(1)	Goods used in construction of additional floor of office building [ITC on goods received by a taxable person for construction of an immovable property on his own account is blocked even if the same is used in the course or furtherance of business. It has been assumed that cost of construction of additional floor has been capitalized.]	Nil
(2)	Goods given as free samples to prospective customers [ITC on goods disposed of by way of free samples is blocked.]	Nil
(3)	Trucks used for transportation of inputs in the factory [ITC on motor vehicles used for transportation of goods is not blocked[3].]	11,000

[3] *It has been assumed that depreciation has not been claimed on tax component.*

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(4)	Inputs used in trial runs [Being used in trial runs, inputs are used in the course or furtherance of business and hence ITC thereon is allowed.]	9,850
(5)	Confectionary items for consumption of employees working in the factory [ITC on food or beverages is blocked unless the same is used in same line of business or as an element of the taxable composite or mixed supply. Further, ITC on goods and/or service used for personal consumption is blocked.]	Nil
(6)	Cement used for making foundation and structural support to plant and machinery [ITC on goods used for construction of plant and machinery is not blocked. Plant and machinery includes foundation and structural supports through which the same is fixed to earth.]	8,050
	Total eligible ITC	**28,900**

(b) Composite supply comprises of two or more taxable supplies of goods or services or both, or any combination thereof, which are naturally bundled and supplied in conjunction with each other in the ordinary course of business, one of which is a principal supply.

Mixed supply means two or more individual supplies of goods or services, or any combination thereof, made in conjunction with each other by a taxable person for a single price

where such supply does not constitute a composite supply.

Items such as double bed, refrigerator, washing machine and wooden wardrobe are not naturally bundled and also the invoice for the supply shows separate values for each item i.e., the package is not supplied for a single price.

Therefore, supply of such items as a package will neither constitute a composite supply nor a mixed supply. Thus, the various items of the package will be treated as being supplied individually.

Note: The question specifies that the various items are supplied at a 'single rate'. The "single rate" expression is construed as single rate of tax in the above answer. Further, the "single rate" may also be construed as single price as given in the below mentioned answer.

Items such as double bed, refrigerator, washing machine and wooden wardrobe are not naturally bundled. Therefore, supply of such items as a package will not constitute composite supply. Further, a single price has been charged for the package.

Consequently, supply of such items as a package will be treated as mixed supply.

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Question 7

(a) P Ltd, a registered person provided following information for the month of October, 2020:

Particulars	***Amount (₹)***
Intra-State outward supply	*8,00,000*
Inter-State exempt outward supply	*4,00,000*
Turnover of exported goods	*20,00,000*
Payment of IGST	*1,20,000*
Payment of CGST and SGST	*45,000 each*
Payment of custom duty on export	*40,000*
Payment made for availing GTA services	*3,00,000*

GST is payable on Reverse Charge for GTA services.

Explain the meaning of aggregate turnover u/s 2(6) of the CGST Act and compute the aggregate turnover of P Ltd. for the month of October, 2020. All amounts are exclusive of GST. ***(5 Marks)***

(b) XYZ Pvt. Ltd. manufactures beauty soap with the brand name 'Forever beauty'. XYZ Pvt. Ltd. has organized a concert to promote its brand. Ms. Mahima, its brand ambassador, who is a leading film actress, has given a classical dance performance in the said concert.

The proceeds of the concert is ₹ 1,25,000.

(i) Explain with relevant provisions of GST, whether Ms. Mahima will be required to pay any GST.

(ii) What will be the answer if the proceeds of the concert is donated to a charitable organization? ***(5 Marks)***

Answer

(a) The term aggregate turnover means the aggregate value of:

(i) all taxable supplies

(ii) exempt supplies,

(iii) exports of goods or services or both and

(iv) inter-State supplies of persons having the same Permanent Account Number, to be computed on all India basis but excluding

(i) central tax, State tax, Union territory tax, integrated tax and cess.

(ii) the value of inward supplies on which tax is payable by a person on reverse charge basis

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Computation of aggregate turnover of P Ltd. for the month of October, 2020

Particulars	Amount (₹)
In terms of the definition of the aggregate turnover given above, the aggregate turnover of P Ltd. has been computed as follows:	
Intra-State outward supply	8,00,000
Inter-State exempt outward supply	4,00,000
Turnover of exported goods	20,00,000
Payment of IGST	Nil
Payment of CGST and SGST	Nil
Payment of customs duty on export	40,000
Payment made under reverse charge for availing GTA services	Nil
Aggregate turnover	**32,40,000**

(b) (i) Services by an artist by way of a performance in classical art forms of, *inter alia,* dance, are exempt from GST,

if the consideration charged for such performance is not more than ₹ 1,50,000.

However, such exemption is not available in respect of service provided by such artist as a brand ambassador.

Since Ms. Mahima is the brand ambassador of 'Forever Beauty' soap manufactured by XYZ Pvt. Ltd., the services rendered by her by way of a classical dance performance in the concert organized by XYZ Pvt. Ltd. to promote its brand will not be eligible for the above-mentioned exemption and thus, be liable to GST.

(ii) Even if the proceeds of the concert will be donated to a charitable organization, she will be liable to GST.

Question 8

(a) Explain who is required to furnish final return, time limit for filing of final return and late fee for delay in filing final return. ***(5 Marks)***

(b) Examine the following cases and explain with reasons whether the supplier of goods is liable to get registered in GST:

(i) Krishna of Himachal Pradesh is exclusively engaged in intra-State taxable supply of readymade suits. His turnover in the current financial year from Himachal Pradesh showroom is ₹ 25 lakh. He has two more showrooms one in Manipur & another in

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Sikkim with a turnover of ₹ 15 lakh and ₹ 18 lakh respectively in the current financial year.

(ii) Ankit of Telangana is exclusively engaged in intra-State taxable supply of footwears. His aggregate turnover in the current financial year is ₹ 25 lakh:

(iii) Aakash of Uttar Pradesh is exclusively engaged in intra-State supply of pan masala. His aggregate turnover in the current financial year is ₹ 30 lakh. ***(5 Marks)***

OR

Who can be registered as Goods and Service Tax Practitioners under Section 48 of the CGST Act? ***(5 Marks)***

Answer

(a) Every registered person who is required to furnish a return and

whose registration has been surrendered or cancelled

is required to file a final return.

The final return has to be filed within 3 months of the:

(i) date of cancellation

or

(ii) date of order of cancellation

whichever is later.

Quantum of late fee for not filing the final return is as follows:

(i) ₹ 100 for every day during which such failure continues

or

(ii) ₹ 5,000

whichever is lower.

An equal amount of late fee is payable under the respective SGST/UTGST Act as well.

(b) Every person engaged in making a taxable supply is required to obtain registration if his aggregate turnover exceeds ₹ 20 lakh in a financial year. An enhanced threshold limit for registration of ₹ 40 lakh is available to persons engaged exclusively in intra-State supply of goods in specified States.

(i) The applicable threshold limit for registration gets reduced to ₹ 10 lakh in case a person is engaged in making taxable supply from a Special Category State.

Since Krishna is making taxable supply from Manipur – a Special Category State, the applicable threshold limit will get reduced to ₹ 10 lakh. Thus, it is liable to be registered under GST as its aggregate turnover exceeds the said threshold limit.

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(ii) Since Ankit is exclusively engaged in intra-State supply of goods in Telangana, which is not a specified State for enhanced threshold limit, the applicable threshold limit for registration is ₹ 20 lakh.

Thus, Ankit is liable to be registered under GST as its aggregate turnover exceeds the said threshold limit.

(iii) Though the enhanced threshold limit for registration of ₹ 40 lakh is available to Uttar Pradesh, the same will not be applicable if the person is engaged in supply of pan masala.

In view of the same, the applicable threshold limit for Aakash is ₹ 20 lakh. Thus, it is liable to be registered under GST as its aggregate turnover exceeds the said threshold limit.

Alternative

(b) Following persons can be registered as Goods and Service Tax Practitioners:

Any person who, (i) is a citizen of India; (ii) is a person of sound mind; (iii) is not adjudicated as insolvent; (iv) has not been convicted by a competent court;

and satisfies any of the following conditions, namely that he:

1. is a retired officer of Commercial Tax Department of any State Govt./CBIC who, during service under Government had worked in a post not lower than the rank of a Group-B gazetted officer for a period ≥ 2 years, or
2. is enrolled as a Sales Tax Practitioner or Tax Return Preparer under the erstwhile indirect tax laws for a period of not less than 5 years, or
3. acquired any of the prescribed qualifications
4. has passed Graduate/postgraduate degree or its equivalent examination having a degree in specified disciplines, from any Indian University or a degree examination of any Foreign University recognised by any Indian University as equivalent to degree examination
5. has passed any other notified examination
6. has passed final examination of ICAI/ ICSI/ Institute of Cost Accountants of India

Note: Any 3 points may be mentioned.

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EXAMINERS' COMMENTS ON THE PERFORMANCE OF THE EXAMINEES

PAPER – 1: ACCOUNTING

Specific Comments

Question 1.(a) Few examinees were not able to give correct calculation of raw material consumed during the year and consequently, they could not ascertain the value of closing inventory as on 31st March, 2021 as per AS 2.

(b) Some of the examinees did not consider the architect's salary for the computation of cost of machinery to be capitalized.

(c) Majority of the examinees failed to explain the treatment of the grant in the given situations as per the provisions of AS 12.

(d) Few examinees made mistakes in calculation of cash generated from operations and consequently, erred in preparation of cash flow statement for the year.

Question 2. Many examinees were able to prepare Investment Accounts (based on average cost method) and Profit and loss Account in the books of Mr. Z but failed to suggest values at which investment in equity shares should be reclassified in accordance with AS 13.

Question 3.(a) Most of the examinees could not give the Head Office Account in Noida Books and the Branch Balance Sheet. They also did not give correct journal entries in the Noida books.

(b) Majority of the examinees prepared Trading and Profit and Loss A/c for the year ended 31st March, 2021 and Balance Sheet as on that date correctly but failed to provide the working notes.

Question 4. Large number of examinees were not able to prepare the statement of profit and loss and Balance sheet of the company as per Schedule III of the Companies Act, 2013 from the given ledger balances and additional information provided in the question. Further, notes to accounts prepared by the examinees were also not as per the prescribed format.

Question 5.(a) Apportionment of advertising expenses between Dye Fabric and Readymade Garments department was done incorrectly by several examinees. This resulted in wrong computation of departmental profits.

(b) Few examinees clubbed the entry for debenture application money received and debenture allotment to applicants and underwriters and made mistakes. Thus, they did not give the correct journal entries for issue of debentures and payment of interest on debentures.

Question 6.(a) Majority examinees failed to compute retained profit of the trader under the concept of physical capital maintenance at current cost.

(b) Large number of the examinees could arrive at the correct claim amount to be lodged with the insurer.

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(c) Few examinees erred in computation of total cash price of the machine and the interest paid with each installment.

(d) Some of the examinees did not write the correct basis of apportionment for the given expenses between pre and post incorporation periods.

(e) Few examinees were confused about the utilization of securities premium (not realized in cash) for issue of bonus shares and did not give the required journal entries in the books of the company. Consequently, they were not able to prepare the extract of the Balance Sheet immediately after bonus issue.

PAPER – 2: CORPORATE AND OTHER LAWS

Specific Comments

Question 1.(a) Majority of the examinees have answered correctly and explained the requisite provisions under the Companies Act, 2013 related to small companies.

(b)(ii) Majority of the examinees have answered correctly and explained the requisite provisions w.r.t payment of dividend under the Companies Act, 2013.

(c) Most of the examinees explained the provisions of surety under the Indian Contract Act,1872 correctly.

(d) Most of the examinees were not able to explain the provisions w.r.t "not negotiable crossing" under the Negotiable Instrument Act, 1881 and hence could not draw correct conclusion.

Question 2.(a) Majority of the examinees have answered correctly and explained the requisite provisions w.r.t time period within which Annual General Meeting is to be held under the Companies Act, 2013.

(b)(i) Most of the examinees correctly answered the provisions of the appointment of internal auditor under the Companies Act.2013.

(ii) Majority of the examinees were able to explain the provisions of appointment of first auditor in a Government company under the Companies Act,2013.

(d) Majority of the examinees were not able to give correct conclusion (considering the provisions under section 138 of the Negotiable Instrument Act, 1881).

Question 3.(a) Most of the examinees were able to reply correctly to the questions based on the provisions related to section 8 companies under the Companies Act, 20013.

(b) Majority of the examinees have given correct provisions w.r.t removal of auditor before completion of his term under the provisions of the Companies Act, 2013.

(c) Majority of the examinees did not give correct answer under the provisions of the Negotiable Instrument Act,1881.

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(d) Most of the examinees have given correct definition of 'means' and 'include' while interpretating statute.

Question 4.(a)(i) Majority of the examinees have not answered this question correctly w.r.t provisions of buy back of shares under the Companies Act, 2013.

(ii) Most of the examinees were not able to give provisions of deemed prospectus and shelf prospectus under the Companies Act, 2013.

(b) Most of the examinees did not answer correctly the question on "Deposits" under the Companies Act, 2013.

(c) Majority of the examinees were not able to give correct answer under the General Clauses Act, 1897.

(d) Majority of the examinees were not able to give correct answer regarding use of foreign decisions while Interpretating Statute.

Question 5.(a) Majority of the examinees gave correct answer and provisions of the Companies Act, 2013 w.r.t shifting of Registered Office.

(b) Most of the examinees did not answer correctly the officer in default under the provisions of the Companies Act, 2013.

(c) Majority of the examinees were not able to explain provisions w.r.t ratification of contract under the Indian Contract Act, 1872.

(d) Majority of the examinees gave correct answer w.r.t. computation of time under the provisions of the General Clauses Act, 1897.

PAPER – 3: COST AND MANAGEMENT ACCOUNTING

Specific Comments

Question 1.(a) It was a practical problem on **inventory control** for assigning ranks based on inventory cost percentage. The second part was related to ABC classification by following the criteria given in the question. Most of the examinees answered in the correct line. Above average performance was observed.

(b) This practical problem was based on **distribution of overheads by using step ladder method** and calculation of rate per hour. Many examinees faced hardship to understand the concept of step ladder method; hence the overhead distribution was not done correctly leading to wrong calculation of overhead rate per hour. Performance of the examinees was below average.

(c) It was a practical problem requiring to **calculate Economic Production Run** and extra cost due to a different production plan. Performance of the examinees was above average.

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(d) This practical problem was based on Marginal Costing which required **calculation of cost indifference point** between two methods and interpretation of the result. Question also required **calculation of BEP** under both methods. Most of the examinees failed to interpret the cost indifference point. Performance of the examinees was average.

Question 2.(a) This practical problem required **preparation of cost sheet**. Various items were given for adjustment. Most of the examinees were confused about the treatment of some items like cost of special drawing, hire charges paid for plant, carriage on return and general overheads. Overall performance of the examinees was poor.

(b) It was a practical problem on **treatment of joint cost** and **identification of products which has to be further processed for maximizing profits**. Many examinees could not present the answer in a convincing manner in spite of arriving at the correct decision. Performance of the examinees was average.

(c) It was a practical problem requiring **computation of Employee turnover rates and Equivalent employee turnover rates** by using separation method and flux method. Most of the examinees were not well acquainted with the concept of equivalent employee turnover rates. Performance of the examinees was below average.

Question 3.(a) It was a practical problem requiring **preparation of cost sheet and reconciling** profit as per financial records with profit as per cost records. In the preparation of the cost sheet, examinees faced problems in the identification of absorbed indirect expenses on the basis of normal production capacity. Performance of the examinees was below average.

(b) It was a practical problem testing the knowledge of examinees on the topic **Activity Based Costing**, requiring examinees to identify cost of allocated capacity and unused capacity on three products. It also required examinees to find out sales value of the offered new product by segregating cost into direct and indirect cost. First two sub parts i.e. allocation of cost and determination of cost of unused capacity were answered well, but examinees failed to segregate cost into direct and indirect in the third sub part. Performance of the examinees was above average.

Question 4.(a) It was a practical problem on process costing which required the examinees to **prepare process accounts** and also **find the percentage of wastage in process Y**. Very few examinees answered the question in the correct line. Most of the examinees could not calculate the percentage of wastage correctly. Average performance was observed.

(b) This practical problem was based on service costing which required examinees to **segregate costs of Insurance policy under four main activities** and to **calculate cost per policy**. Most of the examinees could not segregate the costs correctly. Performance of the examinees was below average.

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(c) This practical problem was based on Contract costing requiring examinees to **determine value of work certified, cash received for certified work and notional profit**. Most of the examinees attempted in the correct line. Performance of the examinees was good.

Question 5.(a) This practical problem tested the basic knowledge of examinees on the topic of standard costing requiring **computation of various labour variances**. Most of the examinees had just written the formula of different variances. They did not understand how to calculate standard hours for actual output. Performance of the examinees was poor.

(b) It was a practical problem on budgeting which required **preparation of sales, production and raw material budgets**. Performance of the examinees was above average.

Question 6.(a) It was a theoretical question requiring examinees to **specify the type of responsibility centre** for the given five statements. Majority of the examinees failed to give clear responses to the statements. Performance of the examinees was below average.

(b) Examinees were required to explain **margin of safety**. Performance of the examinees was above average.

(c) It was a theoretical question on **Rowan Premium Bonus Plan** testing the knowledge of the examinees that in what situation efficient and less efficient workers will get the same bonus. Majority of examinees did not answer properly. Performance of the examinees was below average.

(d) It was a service costing question on **Build-Operate-Transfer (BOT).** Performance of the examinees was below average.

(e) It was a theoretical question requiring examinees to write a short note on the concept of **VED analysis of Inventory Control**. Performance of the examinees was below average.

PAPER – 4 : TAXATION

SECTION A: INCOME TAX LAW

Specific Comments

Question 1. The following common errors were noticed:

- Family planning expenses were wrongly allowed as deduction while computing business income of Mr. Ashish, being an individual though the same is allowable only to company assesses.
- Disallowance u/s 40A(2) wrongly made in respect of salary paid to sister-in-law, without considering that she is not a relative for this purpose.
- 30% disallowance of expenditure for non-deduction of tax at source from commission payment was not made.
- Exemption not provided for interest on PPF.

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Consequently, total income and tax liability were also not correctly computed.

Question 2.(a) Some of the examinees failed to restrict deduction of ₹ 75,000 under section 80C to ₹ 63,000, being total income excluding LTCG u/s 112 and STCG u/s 111A. Consequently, tax liability was also wrongly computed.

(b) Examinees depicted lack of knowledge and understanding of TDS provisions contained u/s 194M, 194C, 194H and 194N

Question 3.(a) The computation of business income in respect of Unit -2 used for business purpose was wrongly made by many examinees. The treatment of expenses incurred in respect of this unit was wrongly done.

(b) (i) Many examinees failed to correctly compute the taxable amount of capital gains under section 112A and to specify the applicable tax rate.

(ii) Many examinees had wrongly allowed deduction u/s 54EC in respect of investment in NHAI bonds without considering that such investment is made after six months from the date of transfer.

Question 4.(c) Many examinees could not substantiate their answers with correct reasoning while determining whether an assessee is mandatorily required to file his return of income if his total income does not exceed the basic exemption limit.

SECTION B: INDIRECT TAXES

Specific Comments

Question 5. Majority of the examinees were unaware of the GST liability in case of mixed supplies. They did not bring out the correct provision that a mixed supply comprising of two or more supplies is treated as supply of that particular supply that attracts highest rate of tax. They wrongly applied separate rate of tax on both stabilizer and refrigerator. Further, they were ignorant of the provision that ITC on membership of a health and fitness centre is blocked if there is no statutory obligation for the employer to provide the same.

Question 6.(a) Many examinees simply mentioned the conclusions and did not substantiate their answers with proper reasoning. Most of them lacked knowledge of provisions pertaining to blocked credit under GST.

Question 7.(a) In large number of cases, examinees wrongly excluded payment of custom duty on export amounting to ₹ 40,000 while computing aggregate turnover of P Ltd. Exclusions in computing the aggregate turnover were not properly explained by most of the examinees.

(b) Most of the examinees wrongly mentioned that services by an artist by way of a performance in classical art forms of, *inter alia,* dance are exempt from GST if the consideration charged for such performance is less than ₹ 1,50,000 as against the correct provision "upto ₹ 1,50,000".

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Question 8.(a) Some of the examinees wrongly answered the question with respect to filing of Annual return instead of Final return. Few of the examinees who answered the provisions of late fee correctly failed to specify that equal amount of late fee was leviable under the respective SGST/UTGST Act as well.

(b)(i) Some examinees did not consider the correct threshold limit of ₹ 10 lakh for registration as applicable in case of special category State. In this case, Krishna is making taxable supply from Manipur, i.e. Special category State, so threshold limit gets reduced to ₹ 10 lakh.

(iii) Some examinees were ignorant that Pan masala was a notified product and reduced threshold limit of ₹ 20 lakh was applicable if person is engaged in supply of pan masala.

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